The Government of the Russian Federation

Federal State Autonomous Institution for Higher Professional Education
National Research University Higher School of Economics

St. Petersburg Branch

St. Petersburg School of Economics and Management

Bösch Robert

INSTITUTIONAL THEORY: UNDERSTANDING THE DYNAMICS OF ESG INVESTMENTS IN A SHIFTING LANDSCAPE

Master's dissertation

Academic format Area of studies *38.04.02 «Management»*

Master Programme "Master in International Business"

Reviewer
PhD, Deputy Head, Professor
Department of Finance and Accounting
Elena Rogova

Dissertation Supervisor
PhD, Deputy Head, Associate Professor
Department of Management
Liudmila Kezhun

Dissertation Consultant
Master's, Senior Lecturer
Department of Management
Konstantin Nefedov

Saint Petersburg – 2024

Abstract

Institutional factors have the power to shape an industry and influence business operations of all included organizations. Coercive, normative, and cultural-cognitive elements can implement trends within the economy. The financial industry is experiencing significant change over the last years. Main topic hereby is the trend of environmental, social, and governance (ESG) investing. The growth of ESG investing was steadily increasing in the past five years, but in 2023, the growth rate decreased. There is a strong correlation between the development of institutional frameworks and ESG in the financial industry.

This dissertation is focusing on analysing the intertwining between ESG investing and institutional factors. The development of ESG is being investigated. Furthermore, this work looks at what role institutional factors played and how the current state of the institutional framework and ESG landscape is shaped. The three main pillars of institutional theory, regulations and rules, industry standards and norms, and social pressures get researched to find out the connection and influence of them regarding the development of ESG investing. Furthermore, this work discusses macroeconomic and global trends which influence investment behaviour, challenges and barriers of implementation, strategies and adaptions, and future directions of ESG development in the financial industry. Goal of this work is to find out what the predominant institutional factors are that contribute to the recent slowdown of the ESG investing growth rate. First, a literature review and theoretical foundation give a deep understanding of the topic. To gather relevant and reliable data, qualitative interviews with industry experts from the financial industry in Switzerland, Liechtenstein, Germany, and India are being carried out. After that, the empirical results get compared with the literature and conclusions are drawn.

Macroeconomic trends, such as the current global economic instability and shifts in market dynamics, have led to a cautious investment approach. Many investors favour traditional investment options due to their perceived stability and reliability. Less social pressure on the development of ESG cause a slowdown of implemented regulations and industry standards. These institutional factors are now less forceful, which contributes to the observed slowdown.

Keywords: Institutional Theory; ESG Investing; Institutional Landscape; Financial Industry

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1 Introduction

In the first chapter of this master dissertation follows a systematic introduction into the sphere of the topic of institutional theory and ESG investments. This starts with analysis of the research background. Thereafter, the relevance of this research gets explained. This shall give a general overview of the importance of this sphere and the significance of the research. The following research goal and objectives give exact guidance on what this research aims to generate. The description of distinctive features and the chapter about the structure of the dissertation show the given framework which helps to better understand the guidance through this paper.

1.1 Research background

In understanding the realms of organizational analysis, social sciences, and external influences, institutional theory has long stood as a major pillar of these relations (Furusten, 2023). It provides a structured framework with which it is possible to deeply dive into the practices of organizational life and its relations with the business world. The interconnection of this theory and all business spheres makes it an indispensable construct of the modern economic world. Since the beginning of organizational development and the modern economic landscape, institutional factors always shaped the way of how organizations are operating (DiMaggio & Powell, 1983). It offers a framework of understanding how institutional factors, such as comprising norms, regulations and laws, rules, and social and cultural factors shape the behaviour of individuals and organizations. It is generally proven that institutions can influence social actors, organizations, and individuals in a significant way, and this happens not only via formal regulations, but also via informal cultural, social, and cognitive ways. This perspective is crucial to understand the interplay between institutional structures and individual or organizational behaviour (Furusten, 2023).

This also applies to the context of financial markets, its organizations, and individuals. Institutional theory shows how institutional frameworks influence general investment behaviours and trends. It acts as a guide that drives the decision-making process of investors through a variety of regulatory mechanisms, ethical standards and norms, and social influences. The financial market is very complex and there are many influencing factors on how it operates (Lewellyn & Muller-Kahle, 2023). The application of institutional theory helps to understand these complexities of investment decisions and the underlying factors that lead to certain business operations. Institutional factors contain a distinctive number of

drivers. They focus on influencing business operations to a certain pattern (Risi et al., 2023). There are different intentions behind the implementation of factors and drivers. To a certain extent, trends in organizational, social, and economical behaviour play a significant role. For the past two decades, the trend of sustainability gained importance in all economic and social spheres. This also affected the financial industry tremendously. The keyword here is ESG, which stands for Environmental, Social, and Governance (Wen et al., 2022). This represents a notable shift in the financial world towards long-term sustainable development, which also includes investment behaviour. Sustainability, ethical considerations, and social parts got increasingly integrated into investment strategies and are currently a fixed component of the financial industry. The main idea behind the trend of ESG investing is to develop more sustainable business practices, which should then lead to long-term value creation not only in financial terms, but also in the development of a sustainable environment where ethics and social responsibilities play a crucial role. This shift towards sustainable business practices is a result of the general societal movement towards sustainability, driven by growing awareness of global environmental challenges, social inequalities and injustices, and governance issues within the business world (Dmuchowski et al., 2023).

The interplay between institutional theory and ESG investing offers a broad area of research. Institutional factors play a critical role in shaping the ESG investment landscape. The investment decisions by organizations and private investors depend significantly on the influencing norms and the regulatory frameworks of the financial industry. Cognitive factors and social pressures, such as the social movement towards sustainability, have a tremendous impact on investment decisions (Kerber et al., 2023). Banks, wealth management companies, and other financial institutions, invest the money according to the given regulatory framework and desires of investors. Therefore, the connection between institutional theory and how it affects the investment landscape is clearly given, which underpins the importance of analysis of this relation. Besides that, the institutional theory is providing a valuable framework for understanding the general dynamics of current ESG investing, including its main drivers and barriers for ESG adaptation and overall development (Avramov et al., 2022).

1.2 Research relevance

The global economy is becoming more intertwined than ever, and the different industries have tremendous influence on each other. The influencing institutional factors therefore have increasingly high impact on the business operations within the economy. Where there is money, there is power, which is a fundamental rule of business (Furusten, 2023). This is also applicable to our economy with its main driver, the financial industry. It has an immense influence on the current state of the economy and also its future developments. The financial industry has the power to steer the economy in a certain direction (Lewellyn & Muller-Kahle, 2023). And that is also the main reason why the institutional factors that are influencing the financial sector, are of such importance. They can change the economy in a way that affects all industries, and all people. Because of that, the movement of sustainability affects the whole economy. Traditional investment paradigms, which primarily focused on financial returns without always taking the broader effect of corporate operations into account, have been significantly replaced by ESG investments (Pedersen et al., 2021). Therefore, ESG investments promote a more reasonable and sustainable global economy by matching financial rewards with larger social goals (Andonov et al., 2021).

This trend increased in importance over the last 25 years and is currently one of the most important factors of modern finance and our economy. When we talk about the starting point of ESG investing itself, it is difficult to point out an exact spot. But many refer to the year 1990 where the first socially responsible investment index was established. This brought ESG on the map in the financial world and since then it grew in popularity (Masters & Temple-West, 2023). In the beginning the development was modest, but over time, the encouragement of society helped ESG to establish itself within the investment landscape.

The biggest boom of ESG in modern finance happened in the year 2018. Larry Douglas Fink, CEO of the biggest wealth management company in the world, BlackRock, made ESG one of the main pillars of their investment strategy. This was the step that made ESG the centre of modern-day financial investment decisions. Besides that, this step of Larry D. Fink has triggered another, even stronger wave of support and advancement of sustainable business practices and regulations. Many other financial institutions followed the lead of BlackRock and increased their investments in ESG portfolios and investment opportunities (Zickus, 2024). Despite the fact that non-ESG investments are still popular, since they bring steady returns, ESG investments grew exponentially. This led to a global ESG Asset under Management (AUM) of 35 trillion US-Dollars in the year 2023 (Kerber et al., 2023). This is remarkable since

this corresponds to 27.5 percent of the total global Asset under Management. Between the years 2016 and 2022 the average growth rate of ESG AUM was 11.7 percent (Zickus, 2024). But after the year 2022, something changed. ESG investments were still growing, but the growth rate declined to 3.5 percent in the year 2023. That represents a 70 percent decline in the growth rate, which is surprising. The whole movement of sustainability, ESG, and sustainable investing is developing even further and therefore the decrease is surprising not only financial investors, but all people (Masters & Temple-West, 2023). It raises questions about the factors influencing the growth or decline of ESG investments and the role of institutional factors in shaping the landscape of sustainable finance. It is essential to understand the reasons behind this slowdown and how the influencing factors intertwine with each other. It can be part of the foundation of understanding the current ESG landscape, the current state of institutional factors, and the reasoning behind investment decisions. It has implications for the future of sustainable investing and the overall goal of a sustainable global economy, and therefore demands critical research.

1.3 Research goal and objectives

The research question for this paper is:

What are the predominant institutional factors contributing to the recent slowdown in the growth of ESG investments?

The main goal of this research is to explore the ESG landscape in the financial industry and analyse how institutional factors influence investment operations and the decision-making process. This paper will find out what are the institutional reasons for the recent slowdown of the ESG growth rate and how this influences the market. It is a multi-faceted analysis of not only the investment landscape of ESG, but it also gives an understanding of the broader regulatory, societal, and market conditions that have a large-scale impact on investment decisions. This research will gather information about the background and context of institutional theory and how it is applicable to the ESG landscape. It will examine what influence market and macroeconomic dynamics have and how they interface within the institutional framework. Besides that, it will give explanations on how and why investment strategies are adapting. This study aims to analyse these complexities, providing a detailed explanation of the interactions between investor behaviour, regulatory impacts, transparency, and market dynamics within the ESG investing field. This study tends to fill the crucial information gaps found in the body of current literature by identifying the main causes of the

recent slowdown and examining the macroeconomic trends, regulatory changes, and market dynamics influencing the ESG investment landscape. Due to the high complexity of this issue, it is important to analyse the influencing factors on the ESG investment landscape and the behaviour of investors in detail. This is for creating the foundation of understanding the intertwining between different economic factors, regulations, public opinions, and financial indicators.

1.4 Description of distinctive features

The theoretical framework for this paper is the institutional theory. The reasoning for choosing this theory is because of the applicability of it to the financial sector. Through given rules, indicated norms of institutions and persons, societal and cultural trends, and market dynamics, institutional factors have a significant influence on shaping the ESG landscape. Due to the recent change in the growth of ESG and the ESG landscape in general, this research is particularly timely and relevant. It can give new insights about a phenomenon that is not deeply researched yet. The methodological approach of multiple case study research in form of semi-structured interviews will give the desired insights of this paper and is a great fit for this type of research. It requires an in-depth analysis of this topic, since this area of research is complex, and many different factors interplay.

1.5 Structure of the dissertation

This thesis is divided into 7 main chapters. The first chapter is the introduction of this work and includes all necessary information about the research. In the second chapter follows the literature review. This is important to lay the foundation of understanding of existing research. The main focus is about the quality of articles. This chapter is subdivided into the literature review of institutional theory, ESG investing, and the resulting research gap which is the cornerstone of this work.

The third chapter is about the theoretical foundation. In the beginning of this chapter the institutional theory is being explained in detail. This includes the most important aspects, such as definition of the theory, general introduction, and different types of institutional factors. After that, the aspects of global trends and isomorphism are declared. Then follows the theory of ESG investing itself. It also starts with an introduction into the topic, the different types of ESG, the evolution of this trend, and the current status.

The fourth chapter is about method and data of this thesis. It includes the explanation of

the literature review and the chosen research type with all its important aspects. In the fifth chapter the empirical results are given. These results are critically analysed and compared with the theory to gather new insights. The sixth chapter contains the discussion of this this work. In the seventh chapter the conclusion is outlined. The main message of this research is again summarised to finalize the results. This also includes implications, limitations, and possibilities for future research.

2 Literature review

This chapter includes relevant research that has been conducted in the fields of institutional theory and ESG investing. It describes the different research paper in a variety of aspects and helps to understand the current state of research.

2.1 Institutional Theory

Institutional theory provides an important framework to understand organizational behaviour, especially the immense influence of institutions on the actions and structures of organizations. The theory has evolved over time and is mesmerizing different perspectives and addressing a variety of subjects such as finance, societal norms, governance, and others. Institutional theory has been researched by many people in academia, due to the fact that it affects all business industries, and that this theory is already part of the organizational and business environment since over 40 years. One of the most famous academic research in this field was done by DiMaggio & Powell (1983). They are considered as the main founders of institutional theory and this research is about institutional isomorphism. It explains how organizations conform to the expectations of specific parts of their environment, which in the end leads to increased homogeneity within this environment. The authors underline different parts of isomorphism, such as coercive, mimetic, and normative pressures. They claim that these factors contribute as mechanisms to make companies within an industry more similar over time.

But even before DiMaggio & Powell, there was another research that is considered one of the first academic research papers in the field of institutional theory. Meyer & Rowan (1977) explore how organizations adopt formal structure. They claim that organizations do this primarily to gain legitimacy and conformity to societal expectations and not to increase their efficiency. Another discovery was that organizations often engage in separating their formal structures from their actual business practices. The reason behind is, is to maintain a certain flexibility while appearing to the outside as an organization that is compliant with the institutional norms. Glynn & D'Aunno (2023) provide a systematic analysis of the history of institutional theory and the evolution over time. This research serves as a fundament for the reflection of the development of this theory and helps to understand the overall areas where it is applicable. The authors even state that the theory has its origins in the early 1900s. In this time, it was not described as institutional theory, but it included several parts of the today's state of the theory. The scope of institutional theory increased and got addressed in different

business spheres.

Many research papers were conducted in all different spheres. A research done by Jiang et al. (2024) describes the impact of foreign ownership on bribery practices in Chinese companies. They use institutional theory to argue that foreign-owned firms have a lower probability to engage in any form of bribery or fraud due to institutional norms in their home countries. Another study focused on the impact of executive cognitive characteristics on the ESG performance of a firm. It gets analysed from the perspective of institutional theory and reveals that top-level executives who have a high awareness of social norms significantly influence their companies ESG outcome (M. Liu et al., 2024). This supports the integration of cognitive and institutional perspectives and underlines the importance of understanding the surrounding norms and guidelines in the respective business fields.

Besides that, the increased scope included new terms, such as corporate social responsibility (CSR). This sphere was researched by Panicker et al. (2024) and they explain the differential impact of CSR investment on financial gains in multinational companies (MNCs) in the Indian market. This emphasises the important role of institutional factors, such as institutional and geographical distance. It is a reflection of the connection between CSR practices and institutional factors. It outlines the institutional theory in the context of emerging markets and their overall financial performance. The authors point out that institutional forces have a significant influence on shaping the corporate sustainability strategy of an organization. The importance of aligning with the SDGs to develop long-term benefits is also highlighted (Galeazzo et al., 2024).

In a study by Arduino et al. (2024) the impact of institutional investors on the ESG transparency of family companies and their approach to it got researched. They unveiled how institutional pressures can shape disclosure practices of companies. They offer insights into various dynamics between institutional investors and the transparency approach of organizations. Another interesting research was published by Elango (2024), where he addresses the impact of institutional disruptions on MNC subsidiary control systems. This is about how institutional changes influence the options of control mechanisms within an organization while navigating through the complex institutional framework.

Lei & Yu (2024) explain in their research what influence institutional investors have on green financial policy and corporate ESG performance. The outcome of their research underlines the importance of green financial policies in the enhancement of corporate ESG outcomes. They claim that without the active promotion of institutional investors about green

financial policies, the overall ESG development and performance will not enhance as much. Another important aspect of institutional theory is institutional isomorphism. For a long time this was not a topic of research, but due to its increasing significance, Posadas et al. (2023) analysed this sphere with a focus on non-financial reporting directives. Their main findings describe how regulatory frameworks drive organizations and companies towards homogeneity in non-financial reporting aspects.

2.2 ESG Investing

As Starks (2023) claims in her article, the interplay between financial value and ethical values is the most important aspect of sustainable finance and ESG investing. She focuses on the navigation of investors and corporations in the complex dynamics of integrating environmental, social, and governance considerations into their financial decision-making processes. The outcome was the clear underlining of the shift that is happening towards a growing recognition of ESG factors as critical components in evaluating long-term value of a firm. This shift is also confirmed by Hartzmark & Sussman (2019) in their research paper. They are using a natural experiment in which funds are reclassified according to sustainability criteria, to explore whether investors give higher capital allocations to funds with high sustainability ratings. According to their research, funds which have higher sustainability rankings experience a higher inflow of funds, which indicates that investors indeed place a high value on sustainability and focus on funds with an overall positive environmental, social, and governance performance.

Bauer et al. (2021) also claim in their research article that many investors have a clear preference of investing in sustainable companies, even when they show slightly worse financial performance then other companies. It is also researched that these investment decisions based on ESG indicators is a rather emotional decision for many investors. The clear target of meeting financial performance indicators is not anymore the only important thing. It also attracts new investors who have the perception of investing in long-term sustainable companies (Heeb et al., 2023). It became also more common to reveal environmental information about the company with a climate risk disclosure. According to a study, enhanced transparency through such disclosures leads to a significant reallocation of capital by private and institutional investors towards companies with lower climate risks. This highlights the important role of clear and comprehensive climate risk information to investors and other stakeholders for reshaping institutional investment strategies (Ilhan et al., 2023).

Another important factor to take into consideration in sustainable investments is the uncertainty of ESG rating factors. Due to the high complexity of these factors, it is difficult to evaluate which firms align with the sustainable targets of investors. This also reconnects with the issue of greenwashing, which is a not uncommon practice, especially in global companies. Avramov et al. (2022) investigate this issue and address how the variability and potential discrepancies in ESG ratings can impact investment decisions and the portfolio construction of investors. They demonstrate that investors can still build portfolios that successfully match their risk tolerance and sustainability goals with the difficulties presented by ESG rating ambiguity, underscoring the adaptability and resilience of sustainable investing strategies.

It is also of importance to understand the influence of ESG criteria into investment portfolios. Since these criteria are often difficult to accurately measure, the influence can be difficult to measure. The most important outcome is always the profit. Therefore, the influence of ESG criteria on profit of the investment is the focus. In a study about responsible investing, Pedersen et al. (Pedersen et al., 2021) analysed the influence. They put out a concept known as the ESG-efficient frontier, which enables investors to attain their preferred risk-return profiles and maximize their ESG ratings. The study shows that investors can strike an ideal balance between sustainability concerns and financial success, demonstrating that ethical investing does not always equate to lower profits. How these green policies imposed by countries catalyses sustainable investment is researched by Zhang et al. (Zhang et al., 2021). The impact of China's environmental legislation on domestic ESG investment practices is investigated by the academics. The study demonstrates the critical role that policy plays in influencing the landscape of responsible investing by showing how supportive green policies in China greatly enhance ESG investing. It also shows that carefully designed regulatory frameworks and initiatives can effectively catalyse investments in sustainability. Besides that, Zhang et al. (Zhang et al., 2022) research the performance impact of ESG investing in China. The study reveals that implementing ethical and sustainable investment strategies in China not only contributes to the achievement of wider sustainability objectives but also generates favourable financial returns. This underscores the feasibility and allure of ESG investments within the framework of developing economies such as China.

All researchers agree on the fundamental fact that sustainability has a tremendous impact on the financial world. The importance of considering these factors in business operations, governance and investment is explained by the researchers. There is no doubt that the changing dynamics in the globally connected financial world caused a sustainable trend, which is now a

fundamental pillar (Wen et al., 2022). But as mentioned, the ESG criteria and their implementation is not always without issues and uncertainties. Especially in the beginning of this trend, there were managers and investors who have been reluctant. This issue is the research focus of (Zeidan, 2022). Using sentiment analysis on a substantial corpus of communications from financial professionals, the author aims to shed light on asset managers' reluctance or slow adoption rate of ESG investments. The study presents a range of opinions and viewpoints, explaining issues with the complexities of ESG standards.

2.3 Research gap

Institutional theory is a well-researched field since it has a broad scope of aspects and influences. This theory impacts all industries and organizations, because it serves as the foundation of any business environment. It is crucial to the way how organizations operate within their fields and therefore many researchers analysed this topic. As the world is transforming towards more sustainable business practices, the importance of environmental, social, and governance factors increased significantly. Since institutional theory focuses on the deeper aspects of social structure, it offers a comprehensive framework for exploring regulatory frameworks, cultural norms, social pressures, and industry standards which all impact the ESG investment landscape.

The current academic literature offers a broad analysis of different factors of institutional theory and how it influences certain aspects of organizational behaviour and their landscape. There is substantial evidence on the influence on corporate governance, sustainability initiatives, and how organizations operate within the complex structure of social pressures, normative rules, regulations, and industry norms. Moreover, the existing literature of ESG investing itself includes various aspects of this topic within the financial industry. There is a critical amount of research about the importance of ESG factors in finance and about the different branches of ESG. Research about different industries and how they handle the increasing demand for ESG is being described, and especially how they focus on handling difficulties in the implementation of ESG into their business practices. This ranges from a distinctive number of positive examples to negative ones where ESG is being described as a hindering framework that is not well enough developed yet.

Despite the significant amount of literature in both institutional theory and ESG investing, there is a lack of academic research about the intersection of these spheres. This is surprising since the critical influence of institutional theory on ESG is proven by researchers. Especially

when it comes to the current ESG landscape and how institutional factors shape it, there is a gap in academic literature. After continuous years of increasing growth of ESG investing, current developments show a change in the trend. ESG is still growing, but at a much lower rate. There is no research about the interrelation between current institutional factors and how they affect the present ESG investment landscape. Because of that, this research should contribute to the existing literature to serve for a better understanding of this complex topic and to help to understand how institutional factors impact the current ESG investment landscape.

3 Theoretical foundation

This chapter and the following subchapters will give an introduction into the thematical part of the work. First, there will be a general introduction given to institutional theory. The main aspects of this theory are being explained to create the needed foundation of understanding. After that follows a general introduction to ESG and its main pillars. Then comes a description of how and why ESG is important for the financial sector and what are the relations. The history of ESG investing will be mentioned, as well as a detailed overview of the most important aspects.

3.1 Institutional Theory

The following chapters give a deep understanding of the fundamental theory, including important aspects to give an overview of the broad variety and complexity of this topic. First the definition of institutional theory is mentioned, after that follows a general introduction into the topic, including subdivisions for the different aspects of institutional factors. At the end the types of institutionalism are explained.

3.1.1 Definition of Institutional Theory

Institutional theory provides a comprehensive framework of certain structures that influence organizational behaviour, even beyond economic factors. This theory claims that organizations are strongly influenced by internal and external factors, such as norms, cultures, regulations, and social pressures that drive an organization in a certain way of behaviour or operations. The following statement provides a fundamental definition of institutional theory:

„It considers the processes by which structures, including schemes, rules, norms, and routines, become established as authoritative guidelines for behaviour“ (DiMaggio & Powell, 1983).

DiMaggio and Powell are considered the main developers of this theory, and they shaped the development significantly. They helped to understand the relationship between institutional factors and organizations and created a foundation of common ground to serve as a base for academia and business. According to Scott (2013), it is important to highlight that institutions dictate what is considered legitimate and rational within a given context in an organization or industry. It affects the way how businesses are operating, how cultural norms are adapting, and how overall trends interact with regulations and industry norms.

3.1.2 Introduction to Institutional Theory

The roots of institutional theory are reaching back in the early 20th century, evolving out of contributions of sociologists and organizational theorists. The main fundament comes from organizational theory and one important researcher is Max Weber. His works in the early 1920's highlight the importance of rational and legal authority and their significant influence on shaping structures of organizations (Weber, 2013). Other milestones of this theory were set by Meyer & Rowan (1977). They researched the concepts of institutional isomorphism and the role of institutional factors and environments on general organizational behaviour. Research in the same aspects was done by DiMaggio & Powell (1983) who to this day, are described as the main developers of modern institutional theory. Their basic concepts and ideas are applied to all modern organizations and have a tremendous impact on how organizational culture is applying institutional factors into their operations.

These foundational ideas initiated a remarkable shift from traditional economic and numerical explanations of organizational behaviour to a broader focus which also includes cultural, social, political, and regulatory aspects. During the following years the research in this area has increased and the broad scope officiates as an interesting and relevant research field. Over time institutional theory embraced in complexity and many researchers explored different ways of institutional logics, impact areas, trigger points, and influencing aspects (Jepperson & Meyer, 2021). The theory changed in terms of what it includes and today there are also important parts newly introduced. Research today includes the analysis of aspects such as global trends and challenges, technological development, sustainability, and other factors that relate to institutional theory. These aspects underline the broad impact field of this theory. It shows that it is not limited to regulations or norms (Posadas et al., 2023).

Everything that is happening in the world on a global scale has a significant impact on what people want and need. That shapes their demands and what they expect of companies and their operations (Risi et al., 2023). These factors can change the perception of people on how organizations should behave. Besides that, they impact other institutions and how they perceive organizational behaviour. Institutional theory helps to understand the deeper meaning and intertwining of social reality that influences structures, strategies, and business practices of an organization (Guy Peters, 2022).

Throughout time and development of institutional theory, three main pillars of institutional factors have emerged and are established as cornerstones. This includes regulative, normative, and cultural-cognitive pillars. Each one of them plays a crucial role for shaping the

institutional landscape that organizations are operating in (Greenwood et al., 2017). Firstly, the regulative pillar is about the importance of rules, regulations, and laws that influence the landscape. It is an important part of defining how organizations are able to shape their organizational behaviour and their management decisions. Secondly, the normative pillar describes how norms and values in society but also within institutions affects organizations (Guy Peters, 2022). It serves as a guideline on which current views of society and institutions are important to cohere to. Thirdly, the cultural-cognitive pillar emphasizes the importance of shared beliefs and general understandings which make desirable actions. These pillars influence and are dependent on each other. For organizations it is important to try to be in overall alignment with them to improve their widespread acceptance and increased efficiency and success of business practices (Andonov et al., 2021).

Another perspective of institutional theory is brought up and analysed by DiMaggio & Powell (1983). They address the mechanisms through which institutions exercise their influences and how organizations develop over time when they face constant institutional factors. This is described as isomorphism. The authors identify three main mechanisms – coercive, mimetic, and normative isomorphism (Elango, 2024). The main concept behind it is that organizations get pushed to homogeneity over time and develop similar practices. Coercive isomorphism results from formal and informal pressures (Marano & Kostova, 2016). Mimetic isomorphism comes from imitation of models that are perceived as best-practice or successful, whereas normative isomorphism arises from professionalization of norms within the organizational landscape (Posadas et al., 2023).

3.1.3 Legal regulations and compliance (coercive)

In this chapter, the context of legal regulations and compliance within institutional theory is being given. Legal frameworks and regulatory compliance build the regulatory part of this theory and are a cornerstone of understanding how landscapes are shaped. There is a dynamic interplay between regulatory environments and organizational strategies. The regulatory landscape has a nature of evolving due to changing regulations and it guides institutional practices in these aspects. It is a fundamental pillar of organizational behaviour and builds the frame of the environment in which organizations are doing their business. They might interpret these regulations as dictated rules that hinder their operations, but just as Edelman (Edelman, 1992) describes it in his fundamental study, it should be understood as active elements that shape organizational structures within the companies. Regulations can offer a broad variety of

positive influences, since the provide a structure that is applicable to all organizations and companies within this field and therefore everybody has to apply to the same rules. In the end it is up to the organizations on how to accept and interpret these regulations (Uchida, 2023). They have to navigate through the regulatory framework to align with institutional expectations and to gain overall legitimacy of their organization. This part of the theory does not only create boundaries for organizations, but it also offers a landscape in which they can create and develop their business strategies.

Compliance mechanisms, regulatory sanctions, and the role of law in organizational life are critical aspects to emphasize within the regulative pillar. Scott (2013) highlights that legal regulations serve as more than simple constrains. They are indispensable parts for understanding organizational dynamics and the overall institutional theory (Guy Peters, 2022). Without regulations, the system would be based on assumptions, feelings, and opinions, which are not optimal fundaments for a framework that should provide longevity and quality of business practices (Ilhan et al., 2023). Rules and compliance aspects have a significant impact on organizational practices. Other influencing factors include global trends digitalization and newly set sustainability goals. Organizations find themselves in a situation where they need to understand and implement traditional legal compliance, but also create innovative responses to new regulatory changes (Jepperson & Meyer, 2021). These imposed formal rules can be used to control behavioural compliance and institutional order within a landscape (Furusten, 2023)..

The rules are created by governmental actors or state institutions which possess the power to set laws. Therefore, political interest interface with institutional aspects and can create tension between organizations and rule makers. Big influencing factors in this area are power of diplomacy, negotiation and lobbying of interest parties and overall political strategies imposed by governmental bodies (Glynn & D'Aunno, 2023). The intertwined connections of legal regulations and compliance within the context of institutional theory reveals a landscape where laws and organizations are in constant relation and dialogue (Furusten, 2023).

3.1.4 Industry standards and norms (normative)

Another pivotal role in institutional theory plays the normative pillar, including industry standards and norms. Unlike the regulatory pressures, these standard and norms are not a result of implemented formal rules. They derive from shares values, norms, and expectations within the industry. As explained by Brunsson & Jacobsson (2002), these normative pressures can reach the same extent of influence like formal rules. Organizations will implement these norms

and adapt according to them to gain legitimacy and acceptance within their business fields. It is of significant importance to find yourself in line with industry standards, because for external institutions and people it is crucial that organizations where they want to invest in or make operations together, they have to fulfil certain standards (Lammers & Garcia, 2017). Besides that, the adherence to certain established norms and standards can be seen as a key driver for organizations to maintain order and consistency in their business operations, which enables them to face simpler and less complicated interactions between different interest groups and stakeholders.

These norms define how organizations within the field should behave and operate (Li & Haleblian, 2022). That happens in an informal way, but it is still critical to try to implement it to establish long-term stability and success. These standards and norms cover a wide range (Massi et al., 2021). Usually, they are concerning about technical specifications, quality benchmarks, ethical guidelines, and organizational codes of conduct. Due to this broad range, it affects the whole organizational operations, including product or service development, operational processes, strategies, innovations, and overall organizational culture. Given an example by the financial industry, standards and norms play a significant role in operations. During the last 15 years, the industry created explicit financial reporting standards to advance inter-organizational value (Sahin & Mert, 2023).

Very often the focus is about being in line with established norms and standards, since this can be a difficult process and require a lot of resources and time (Y. Liu, 2021). But then in the meantime there is the risk of losing needed resources for business innovation and improvement, which is substantial for success. That is a main challenge that needs to be addressed by organizations and requires a tremendous amount of skills and experience (Li & Haleblian, 2022). And exactly in this area big organizations that are also market leaders within their industry have an advantage. Due to their high influence and size, they can shape new industry standards and norms and align them to their own goals and primary organizational guidelines. This can elevate their market leading position and that is why smaller organizations have it more difficult to keep up with the fast-paced changes and dynamics of normative frameworks.

The normative pillar of institutional theory offers a deep understanding of the complex landscape of industry standards and norms which impact organizational behaviour and operations significantly (Sahin & Mert, 2023). It becomes clear that industry standards and norms are crucial in guiding organizations in their strategies and operations while demanding

strong skills in managing changes (Liao et al., 2020).

3.1.5 Social expectations and pressures (cultural-cognitive)

The cultural-cognitive pillar of institutional theory emphasizes the influence of social expectations and pressures on organizational behaviour. This goes beyond formal rules and industry standards, it is more about unspoken or on the contrary distinct societal norms and opinions. Organizations have to deeply understand the opinions and wishes of society to adapt their operations and gain the eligibility of the people. These expectations ad pressures shape the identity of organizations and their actions. Meyer & Rowan (1977) and Zucker (1987) were the first researchers who explained that organizations adopt their practices not just to certain efficiency aspects, but also to align with societal expectations. The influence of society is tremendous, because at the end of the day the people are the customers, investors, and employees and all organizations are dependent on them. Therefore, it is deeply embedded that social norms and cognitive influences guide organizational actions (Chen et al., 2023).

In recent years, social expectations increased significantly and shaped the institutional landscape of various industries. One of the main drivers to mention is the growing awareness of sustainability. This trend already exists for more than 30 years, but within the last 10 to 15 years it reached new dimensions. Societal expectations in terms of sustainability have changed and now society demands more sustainable business practices of organizations (Skandera et al., 2023). They pressure whole industries to adopt to climate change and implement sustainability as one of the central factors. But the changing social expectations are not limited to sustainability and the environment. They extend to issues such as diversity and inclusion, sustainable business management, corporate social responsibility, and many more. Society grew their demands for overall sustainable business practices. They wish for a corporate culture that is inclusive to all genders, nationalities, and operates in an open way while following a certain code of conduct. The challenge hereby for organizations are that to be successful in the market, they need to find a balance between implementing these societal pressures and keeping their own corporate identity and competitive advantage (Bitektine & Song, 2023). Besides that, over time these pressures also created challenges.

One of the main issues to mention is greenwashing. This describes the process of when organizations are operating not sustainable, ethical, or inclusive, but try to improve their public image by taking part in certain corporate social responsibility actions. This shows to society that they are a sustainable organization, but in reality, it is just a facade. This is something that

needs to be addressed by institutions and certain regulatory frameworks should be implemented (Mithani & O'Brien, 2021).

3.1.6 Macroeconomic and global trends

In the development of institutional factors, macroeconomic and global trends play a pivotal role. While it is not part of the theory itself, due to the dynamic elements they impact the regulatory, normative, and cultural-cognitive dimensions. Organizational behaviour and business strategy are dependent on the situation of economy and other trends which can influence market dynamics. Fluctuations, interest rates, or inflation can dictate the environment in which institutions impose regulations or how society behaves and what they demand. In times of economic instability, regulatory bodies might implement a framework which stabilizes the economy, rather than considering factors of sustainability or social aspects. In times of a growing economy, trends might align with the core concepts of long-term sustainability. Technological advancement, climate change, social movements, and geopolitical factors are crucial for how society and institutions behave. Therefore, it is important to take macroeconomic and global trends into consideration when analysing the institutional landscape.

3.2 ESG Investing

This chapter and the following subchapters will give an introduction into the thematical part of ESG. It begins with a general introduction to ESG investments and is followed by a more detailed explanation of the main pillars.

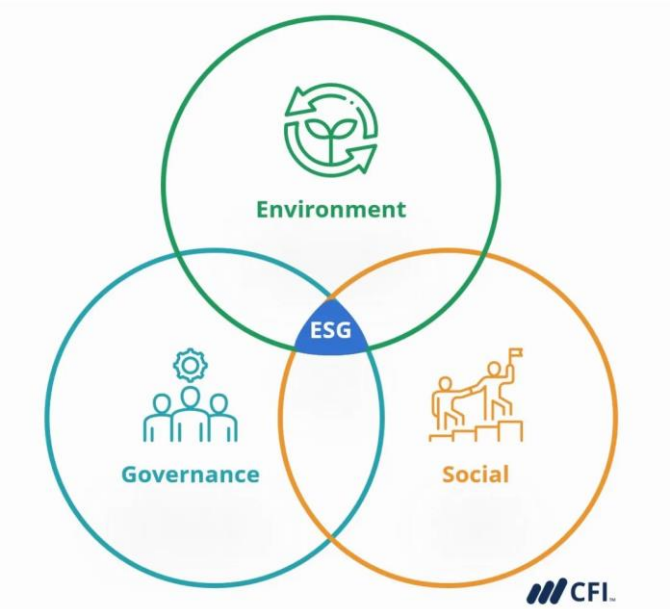
3.2.1 Introduction to ESG investments

In the evolving and rapidly changing landscape of global finance, ESG (Environmental, Social, and Governance) investments have appeared as a transformative force, reshaping the outlines of investment strategies and corporate governance. The ESG framework is built as the principle that sustainable and responsible business practices are not only based on an ethical point of view, but also on the long-term goal of financial success (Sukhacheva & Bichurin, 2022). The characteristics of ESG investments are usually environmental awareness, social responsibility, and strong corporate governance in addition to traditional financial metrics used. This way of investing changed the landscape of financial investments in many aspects and is considered an important pillar of modern finance (Wang, 2024). The following figure 1 shows

the three aspects of ESG.

Figure 1

3 Pillars of ESG



Note: This figure shows the 3 Pillars of ESG taken from *ESG (Environmental, Social, & Governance)* from K. Peterdy, 2023, Corporate Finance Institute (https://corporatefinanceinstitute.com/resources/esg/esg-environmental-social-governance/)

3.2.2 Environmental considerations

The aspect of environmental components of ESG focuses on the ecological impact that a company has and its general management of environmental risks. This includes a variety of different factors, such as energy usage, waste management, natural resource usage, pollution, CO2-emissions and many others (Sinha & Juneja, 2022). These criteria build the cornerstone to evaluate the company's influence on the environment. Investors who seek for sustainability in their investments support businesses that actively work on their environmental issues, such as carbon footprint, switch to the usage of renewable energy, working on green technologies and therefore are contributing positively to the environment and a more sustainable future (Zhang et al., 2021).

3.2.3 Social considerations

The social dimension of ESG evaluates how a company is managing their relationships with customers, suppliers, employees and other involved stakeholders (Wen et al., 2022). It includes diversity and inclusion, human rights treatment, social customer satisfaction and general community engagement. Companies try to align with the social principles and investors seek this as a positive opportunity to not only focus on financial metrics, but also on the way how a business is operating in social aspects. It is considered that companies that treat their stakeholders with respect, fairness and social inclusion tend to have a more sustainable long-term growth (Houston & Shan, 2022).

3.2.4 Governance considerations

The way of leadership, internal controls, managing shareholder rights and audits of a company builds the governance aspect. It shows the company's quality and fairness of their administration, their board structure, compensation of executives and top-tier managers, interactions with stakeholders and most importantly, transparency of operations. The main idea behind a positive corporate governance is to build trust among stakeholders and to attract more investments. With these influences, there is a high chance of increased operational performance and long-term success (Sinha & Juneja, 2022). For investors, this builds an important part in their investment-decision. The governance of a company mirrors their decision-making process, risk management strategies and the attitude and relationship management with stakeholders (Bauer et al., 2021).

3.2.5 The rise of ESG Investing

The concept of ESG (Environmental, Social, and Governance) investing has come a long way, changing our perception of investments and business practices. This strategy has origins in the socially conscious investing movements of the 1960s and 1970s; it did not emerge out of nothing. Investors in the past would frequently resist from funding companies that disagreed with their moral convictions, like those that produced tobacco products or firearms. Modern ESG investing, on the other hand, is more proactive, prioritizing the support of businesses that actively exhibit good environmental, social, and governance policies (Kaminskyi, 2022).

The early 2000s experienced a significant increase in the popularity of ESG investment. Global concerns like inequality in society, climate change, and the value of moral leadership in businesses came to the attention of more people (Zeidan, 2022). The United Nations'

introduction of the Principles for Responsible Investment (PRI) in 2006 was a major driver. This gave investors a precise set of rules for taking ESG factors into account when making investing decisions. Around the same time, a number of instruments and services that assessed a company's performance according to ESG standards also gained popularity (Bell & Van Vuuren, 2022). The largest increase in ESG investment took place in 2018 because of Larry Fink, the CEO of Blackrock, the largest wealth management company in the world. ESG gained popularity after it was shown to the public that it will influence the nature of investments going forward.

It became obvious to many that businesses which do well in ESG areas are not only benefiting the world but are also frequently more profitable and effective in the long run. There is a variety of studies to substantiate this link. People's expectations have shifted at the same time. Businesses are increasingly expected by society as a whole, employees, and customers to be more transparent and ethical (Houston & Shan, 2022). In an effort to promote sustainable business practices, governments and international organizations have also taken the initiative and introduced a variety of laws and regulations to sustain the ground base for the implementation (Rahman & Lau, 2023). ESG investing is becoming more popular than an investment trend. It is an essential component in modern investment strategies, indicating an important shift in the way that investors and businesses perceive the interplay of the financial system, society, and environment. It demonstrates that achieving financial success and making a positive impact on the world are not mutually exclusive but rather may coexist (Bansal et al., 2022).

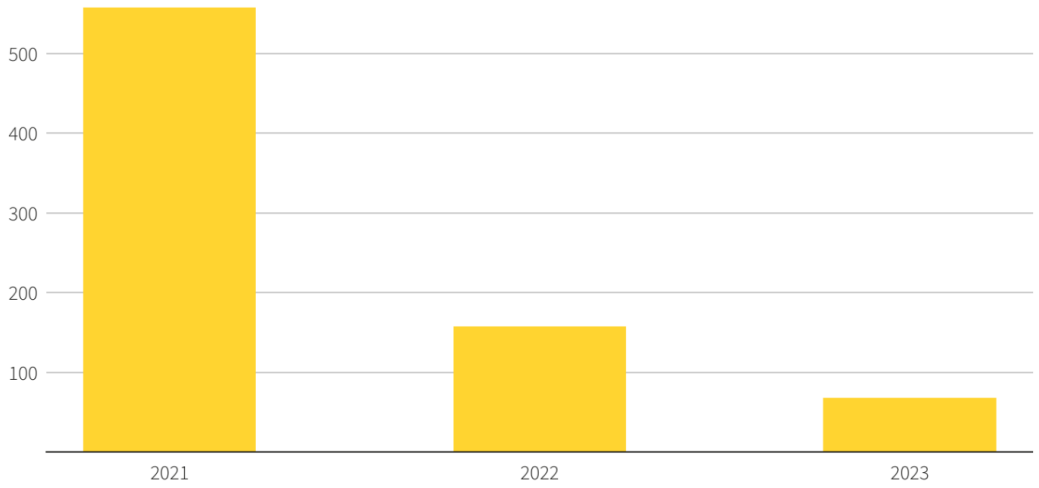
3.2.6 Present status of ESG investments

Environmental, social, and governance factors are becoming more and more integrated into investment portfolios, which is a significant change in the ESG investing landscape. Starks (2023) clarifies that this integration represents a deeper alignment of financial value with ethical principles and goes beyond an ordinary trend. The positive relationship that Hartzmark & Sussman's (2019) research found between sustainability ratings and fund inflows supports the generally accepted importance of ESG factors in influencing investment choices. But the boom of the ESG investing sector has just come to an unexpected standstill. ESG investments continuously grew over the past years and gained popularity. But since the beginning of 2022 and 2023, the growth rate is declining and new investments in ESG managed fonds and companies even went negative for a period.

The following figure 2 shows the global net inflow into responsible investment funds, in billions of dollars.

Figure 2

Responsible investment fund inflows slow sharply



Note: This figure shows that responsible investment fund inflows slow sharply taken from *ESG funds suffer weaker demand despite help from tech-sector performance*, from Kerber et al., 2023, Reuters (https://www.reuters.com/sustainability/sustainable-finance-reporting/esg-funds-suffer-weaker-demand-despite-help-tech-sector-performance-2023-12-21/).

The tendency of investors towards sustainable investments, regardless of the possibility of comparatively lower financial returns (Bauer et al., 2021), highlights an interesting aspect of investor conduct: the moral and emotional foundations of investment decisions. The obvious transition from a strictly financial to a more comprehensive, value-driven approach to investing emphasizes how important it is to explore the complex motivations behind ESG investments, especially during periods of slowing growth. Furthermore, Zhang et al.'s (2021) research and Ilhan et al.'s (2023) emphasis on the strong impact of transparency in investment decisions, as well as the vital part that regulatory frameworks play in pushing ESG investments, highlight the significance of external factors in shaping the ESG investment landscape. Since this decrease in growth for ESG investments is a new phenomenon, the amount of research is limited. The existing research describes a variety of aspects of ESG in the financial landscape and the intertwines of sustainability and investment behaviour. But there is no research that outlines the influencing factors on the current decrease in the growth rate.

4 Method and data

In this chapter the methodology of this paper is explained. First a literature review was conducted to give a structured overview of the existing literature and the state of research. Moreover, the qualitative research and the connected expert-interviews, which are being done for this research paper, are mentioned. After that follows a description of the chosen inductive research approach und the multiple case study research. Then the exact data collection procedure and the pretest are described. At the end of this chapter, the selection of respondents or interview-partners and the data analysis according to Mayring (2010) are analysed.

4.1 Qualitative research

In this work, qualitative research is used to answer the research question and fulfil the objectives of the thesis. The qualitative approach was chosen because the topic of this work is complex, and the investigation requires a lot of in-depth-analysis to obtain the desired results.

In research, a general distinction is made between qualitative and quantitative research. In quantitative research, hypotheses are tested (Xiao & Watson, 2017). As the name suggests, quantitative research is about the quantity of results. The goal is to generate as many examination units as possible in order to obtain a reliable and meaningful result. The quantitative method is advantageous if there is already a lot of literature on the topic being discussed and you want to test an existing theory (Mayring, 2010).

In comparison, qualitative research is about the detailed and extensive collection of information, which is evaluated interpretively (Aspers & Corte, 2019). Qualitative research is about context specific analysis, while quantitative research puts a focus on the quantity of data. This is important to gain the necessary depth of the topic and to be able to analyse the various issues precisely. The number of people surveyed is therefore smaller than with the quantitative method, but the respondents are examined more closely (Mayring, 2010). This is achieved thanks to the greater scope for answers that the people surveyed have. The qualitative methods include qualitative content analysis, case study, group discussion, utility analysis and interview (Xiao & Watson, 2017).

Selecting the appropriate interview format is crucial for this purpose. Rowley and Slack (2004) distinguish between three types of interviews: semi-structured, unstructured, and structured. In a structured interview, a guide helps you through the process. All the questions in this interview guide are closed-ended. Although a guide is still used throughout the

procedure, open-ended questions are asked in a semi-structured interview. There are no rules in an unstructured interview; only open-ended questions are posed. The most flexibility is provided by this type of interview, although data processing may become more challenging (Knopf, 2006). The condition of this thesis requires qualitative method and semi-structured interviews. This is the best way to gather high-quality results. This is due to the complexity of influencing factors of ESG, the interpretive nature of qualitative research which suits understanding of motivations, perceptions, and decision-making processes. Besides that, the appropriateness for the research aim of influencing factors of ESG investments makes this approach suitable. Also the depth of information and understanding and the flexibility that this approach brings with it is the perfect method for this research. As Sciarelly et al. (2021) and Harnett (2018) claim, qualitative research helps to gather information about complex issues were there is an in-depth analysis needed.

4.2 Inductive research

Separation into deductive and inductive research approaches comes after the division into qualitative and quantitative research. The investigative method involves independent research that may lead to an understanding of novel theories. When there is little to no literature on the subject and one wishes to contribute oneself to knowledge gain, investigative research is used (Wild & Schiefele, 1993). Existing theories are attempted to be verified using deductive research, which is an overview of previous research. Therefore, the deductive method is applied when there is already an extensive amount of literature on the subject and a researcher seeks to validate established hypotheses through their own research. Given that, it can be concluded that the inductive approach is future-focused because it presents a new theory on its own (Meinhold, 2001). The steps of leading observation, data collection, formulation of one's own hypothesis, and generalization make up inductive argumentation. First, one establishes a certain context. The gathering of data on this incident and the analysis of the information gathered come next. From there, a hypothesis that is based on the recently acquired knowledge may be formed. This verified hypothesis allows for the statement to be generalized (Carl, 2017).

The processes of developing a theory, coming up with a hypothesis, gathering evidence, and deciding whether the hypothesis can be proven are all included in deductive reasoning. Initially, an observation is derived from the current hypothesis. On the basis of this finding, a hypothesis is proposed. This aims to verify current theories. The following phase of data collecting involves doing this. Following the completion of the survey, the results either back

up or dispute the previously stated premise (Meinhold, 2001). Because there is not much previous study on the subject, this work focuses on the inductive research technique in an effort to generate new information.

4.3 Multiple case study research

A case study is a comprehensive investigation of an individual, a group of individuals, businesses, sectors, or other research subjects. Research papers apply case studies to investigate research questions and research objectives. It is divided into several case studies alongside a single case study. A single case study includes a detailed examination of a single instance. This is often used in situations where a single example is adequate to address the research topic of the study and there is a specific case for which exact information is sought of (Yin, 2012).

Hunziker and Blankenagel (2021) state that the multiple case study consists of several cases that are examined. The topic of the paper determines how many case studies are appropriate. A multiple case study is more appropriate when the subject matter and the related research issue are complicated and offer the possibility of numerous points of view. Several instances will be looked at to gather the various viewpoints of the interviewees on the complex subject. It is intended that this would generate more useful and accurate data to meet the goals of the study. The data from several case studies may be compared to each other to identify discrepancies and similarities. With the single case study, this is not feasible (Yin, 2012). Because of that, for this work the approach of multiple case study is reasonable since the topic of institutional theory and ESG investing is very diverse and data generation requires different opinions and perspectives.

4.4 Data collection procedure

Problem-centred interviews were used to perform the multiple case study research for this paper. The interviewee is asked open questions on a particular issue in problem-centred interviews. This survey approach emphasizes adaptability. The way the interviews are arranged allows participants to respond honestly, freely, and flexible (Kurz et al., 2009). It is important for the interviewer to guarantee that the interviewees stay on topic and do not stray from the real subject (Gläser & Laudel, 2010). Due to the openness of the interview, it is possible to gather deep and personnel views of the experiences and knowledge of the interview partners which they have in the sphere of ESG investing and institutional theory. Moreover, in this type of interview it is possible to react to the answers given by the interviewees and therefore even

enhance the overall quality of gathered data further (Gill et al., 2008). The problem-centred interview is based on a guide to provide the interviews with the required structure. For the duration of the interview, this serves as an orientation for the interviewer as well as the individuals being interviewed (Gläser & Laudel, 2010).

The interview guide is based on the theoretical part of this work and the gathered results are being compared with the theory in the data analysis. The questionnaire is divided into introduction, main part, and final part. The introduction begins with a short explanation of the interviewer, thesis topic and research aim. After that follows information of the purpose of the interview, confidentiality assurance, duration and format, and consent of participation. After the explanation of the formal and administrative parts, the main part of the interview starts. This part is divided into 10 sections. These sections are mentioned in table 1 below:

Table 1

Main part: Sections

Main part: Sections
Section 1: General Background and context of Institutional Theory
Section 2: Legal regulations and compliance
Section 3: Industry standards and norms
Section 4: Social expectations and pressures
Section 5: Macroeconomics and global trends
Section 6: Impact of institutional factors on ESG investment
Section 7: Challenges and barriers
Section 8: Strategies and adaptations
Section 9: Perceptions and experiences
Section 10: Future directions

Note: This self-created table shows the sections of the main part of the questionnaire.

In the final part, the interviewees are asked about any recommendations and insights they can give on ESG investments and institutional aspects. Then they are given the possibility to provide any final thoughts about the topic or interview, so that there are no open questions remaining and everything important is being said. This is followed by the final thanks from my side and farewell.

4.5 Pretest

In order to develop an initial feeling for the interview process, a pretest was carried out. For a realistic pretest, it is important to select a person who largely meets the same requirements as the actual respondents. That's why the test was carried out with a person who has been actively working in the financial industry for 30 years and has been increasingly involved in the topic of ESG investing, especially in recent years. Carrying out such a test shows what problems there are with the survey and whether the questionnaire is formulated in an understandable way (Gill et al., 2008). Effective time management is another crucial element (Gläser & Laudel, 2010). Before the actual interviews start, the test verifies the main structure

of the guide and allows for any required adjustments to be made (Baur & Blasius, 2014).

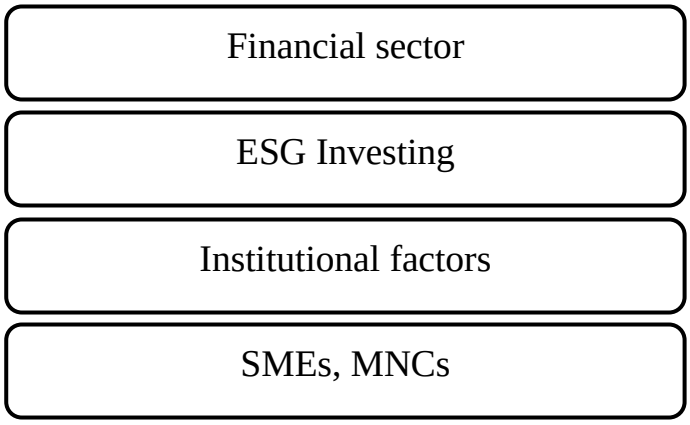
Positive feedback for the pretest was received and the 40 to 60 minutes time frame was adhered to. In a few cases, it was essential to redirect the participant back to the subject matter, since otherwise the quality of the received data would not have been ideal. The information gathered was insightful and has been helpful for the data analysis of this work. Additionally, the structure of the guide turned out to be appropriate. It was discovered that two of the questions were not yet ideal and they were thematically redundant, therefore they were changed.

4.6 Selection of interviewees

All interview partners have to meet the same criteria in certain areas so that the results of the interviews can be compared with one another. Besides that, this sorts as a foundation for the reliability and validity of the gained results. The main criteria for the selection of interview partners is that they are operating in a company of the financial industry. This includes banks, financial advisors, wealth managers, and private banks. Another criterion is that they are somehow related with ESG investing in their operations. It is not important in what exact way or at what level this relation is. Besides that, they have to be in contact with institutional factors, so that they can answer the questions appropriately. Different relations offer different viewpoints which can enhance the quality of received data. To ensure different opinions and perspectives, the selected companies range from small sized companies to large ones. This offers interesting insights on how they are addressing ESG investing. The following figure 3 illustrates the overview of selection criteria.

Figure 3

Selection criteria of interviewees



Note: This self-created figure shows the selection criteria of interviewees of this paper.

There are no specific criteria of the location of these companies. The research topic is of global scope and therefore the interview partners of this work are from different countries. This should ensure that different perspectives from people of different countries are included. This aims to provide high-quality results. The interviewees and the companies they work for are located in Liechtenstein, Switzerland, Germany, and India. Due to the personal location of the interviewer in Saint Petersburg Russia, the interviews were conducted in an online format via Zoom, Google Meet, and Microsoft Teams. Within the companies interview partners were searched who have the most knowledge about ESG and institutional factors. The contact with the interviewed persons started via E-Mail or telephone. All interviews were recorded auditorily to serve as foundation for the following transcription.

To list the selected interview partners in a structured manner, the following table 2 is illustrated.

Table 2

Interviewees

	Type of company	City & Country	Position of Interviewee	Name of Interviewee
Interview 1	Deutsche Bank	Mumbai, India	Managing Director	Mayank Khemka
Interview 2	Liechtensteinische Landesbank (LLB)	Vaduz, Liechtenstein	Customer Relationship Manager	Silvia Zanini
Interview 3	Vigenda AG	Zurich, Switzerland	Founder & CEO, Partner	Peter Giesinger
Interview 4	iMandi PTE Ltd.	Mumbai, India	CEO	Nikhil Bhuta
Interview 5	Medio GmbH	Triesen, Liechtenstein	Partner & Managing Director	Christian Bitterwolf
Interview 6	Private Bank	Frankfurt, Germany	Head of Equities	anonymous

Note: This self-created table shows criteria of the interviewed persons.

In total there are 6 interviewees from 6 different companies and 4 different countries. Their positions have a brought range which enhances the opportunity to gather data from different perspectives.

4.7 Data analysis

The data analysis in this work is carried out using the method of Mayring. This includes qualitative content analysis. This evaluation technique is based on the summary of the gathered data (Mayring, 2001). The data obtained through qualitative methods is being transcribed. The data is then categorized into categories in order to structure it in a clear manner. The category system is derived from the structure of the interview guide. “The feature of category consistency is in fact the central distinguishing criterion from other text analysis approaches,” mention Mayring and Fenzl (2019). The allocation of individual information and data volumes into the different categories is based on the interpretation of the author of this work. This process of

assigning the data into categories is called coding (Bräunling, 2017).

The data analysis software “MAXQDA” is used for data evaluation. The interviews previously recorded via audio are inserted into this program. Then the audio files are transcribed. Care is being taken to correct incorrectly worded sentences and word errors. Furthermore, the interviews were conducted in English, German, and Swiss German. It was therefore important to write the reformulations in English as accurately and meaningfully as possible to avoid any possible errors due to language differences. The categories are then created in this program and the text paragraphs are coded. This forms the basis for evaluating the data empirically.

5 Results

In this chapter the results of the conducted interviews are shown. The gathered information contains relevant and up-to-date insights from industry experts about ESG and how institutional theory is connected to it. The results show different perspectives and focus on how institutional factors influence the current ESG landscape. Besides that, other important aspects are being explained.

5.1 Empirical results

This chapter of empirical results is divided into each of the 6 conducted interviews. This gives an overview and in-depth insights of the results. The interview guide contains 11 chapters and a section about conclusion. The chapters are illustrated in the following table 3.

Table 3

Chapters of interview guide and empirical results

Chapters	Title
Chapter 1:	General Background and context of institutional theory
Chapter 2:	Legal regulations and compliance
Chapter 3:	Industry standards and norms
Chapter 4:	Social expectations and pressures
Chapter 5:	Macroeconomic and global trends
Chapter 6:	Impact of institutional factors on ESG investment
Chapter 7:	Challenges and barriers
Chapter 8:	Strategies and adaptations
Chapter 9:	Perceptions and experiences
Chapter 10:	Future directions
Chapter 11:	Recommendations and insights
Conclusion	Final thoughts

Note: This self-created table illustrates the chapter of the interview guide and the section of empirical results.

Interview 1

General Background and context of institutional theory

The role of the first interview partner, Mr. Mayank Khemka, is chief investment officer (CIO) for Deutsche Bank India. The experience includes many investment decisions, which also includes ESG investments. India is a developing country and economy. There are many more challenges as far as overall development is concerned. “And therefore ESG, although it is a crucial topic, is not as developed in India”, states Mr. Khemka (Interview 1 / Pos. 2). India has other growth targets and therefore ESG is not yet a primary factor of investing. It is more important to sustain the rate of growth in per capita GDP, profit, and others (Interview 1 / Pos. 2).

There are regulations that have been implemented, especially in Europe, about how people should invest. For example, many ESG funds and banks have the regulation that they should not invest in investment options that have an ESG score of less than 4 or 3, depending on the industry. This also applies to Deutsche Bank, but more on the Europe operations. Mr. Khemka highlights that investors in the US also do not care that much about ESG as it may be illustrated. In discussions with private and institutional investors, they ask if ESG investments give them higher returns than non-ESG investments. If they do, great, if not, then they prefer non-ESG investment options. In India, the governance is important. In developing countries, corruption and fraud is an issue. Therefore, the focus in India is more on the governance, rather than economic and social aspects. The track record of companies gets analysed to see if they align with the norms of Deutsche Bank. But there are no implemented frameworks, as far as governance goes. But it is also of advantage for the companies to do that. One of the reasons to do it is that they usually get a higher valuation and therefore they have a higher investment inflow (Interview 1 / Pos. 4).

An example is Tata Steel, a subsidiary of the Tata corporation, the biggest corporation in India. Tata Steel is a role model when it comes to ESG, especially G. And it is visible that they have a higher valuation. This is also due to other factors, but the alignment with ESG is also a part of it. To sum up, India does not really have a developed regulatory ESG framework yet. There are certain pollution control standards, but there is not a specific regulatory framework (Interview 1 / Pos. 4).

Legal regulations and compliance

The bank has its own ESG standards, but also has to align to certain regulations. Mr.

Khemka explains: “They have stopped funding dirty power” (Interview 1 / Pos. 6). It is an internal guideline which prohibits the funding of industries such as coal or mining. But this only applies to the lending business part, not the investing part. This means that from a global perspective, Deutsche Bank does not lend money to such industries. But on the investment side, there is only a partial overlay of ESG regulations. In India, Deutsche Bank can still invest into so called “dirty industries”. And in general, the lending side is much more regulated that the investment side. This is because on the lending side, it is the banks money. On the investment side, it is the money of customers. It is also a reflection of the desires of clients and investors. If they do not want to invest into ESG funds and we only offer this option, they will go somewhere else. In Europe these client desires are a bit different. But here in India the focus is on returns (Interview 1 / Pos. 8). Also there have not been any significant regulatory changes in India in the past years (Interview 1 / Pos. 10).

Industry standards and norms

In terms of industry standards and norms, the aspect of governance is what matters a lot. There is something called factor-based investing. Within the financial industry, there is momentum-based value investing. Hereby you are looking at the momentum of the stocks in the fund. But now there is also another factor called quality-investing. This describes the process of analysing the quality of companies. A big factor for indicating the quality is the alignment of ESG aspects. Usually, when you have high ESG scores, you have a high quality-score. This illustrates the influence of ESG standards and norms within the industry because this is not imposed by rules, it just developed out of business practice into a norm (Interview 1 / Pos. 12).

Isomorphism is also something that found its way in the financial industry, but more within larger organizations. “The larger banks can afford to do that, because if they do not fund a coal project, it does not matter to them”, explains Mr. Khemka (Interview 1 / Pos. 14). For smaller banks or investment organisations, this can be a significant amount of business. And usually this is how it goes. Big banks do not take an investment option in a coal or oil project, and then a small investment organisation takes this opportunity (Interview 1 / Pos. 14). But the isomorphism is not very much developed. Mr. Khemka explains: “The big US banks have it to a certain amount, but they are very far away from isomorphism” (Interview 1 / Pos. 16).

Social expectations and pressures

There is definitely social pressure which influences financial investment decisions. But the source for this has different starting points. One of them is also a political agenda. So politics is also involved in this. ESG and sustainability should get pushed, especially in Europe. This creates a certain mindset in the society, which leads to certain expectations when it comes to investing. One example here is green energy. But in India this is much more difficult. In India people first care about if they even have energy. Therefore, the pressure on politicians, but also on society is not very high when it comes to sustainability. So far in India social pressures do not influence us much (Interview 1 / Pos. 18). An example in Germany was that people came outside to the Deutsche Bank main office and protested for more sustainable business practices. Also, on press conferences and public events the CEO is getting pressured. This has put a lot of pressure on the leading managers which lead to more inclusion of sustainability in the investment decisions (Interview 1 / Pos. 16).

These social pressures resulted in the creation of new rules at Deutsche Bank when it comes to lending. As explained above, they will not lend to certain sectors such as coal. Mr. Khemka states: “Even in real estate they now will only fund green buildings. And therefore, if the building has no green certification by two or three global organisations who certify them as green buildings, they will not lend money for that” (Interview 1 / Pos. 20).

Macroeconomic and global trends

The situations in Ukraine and with Israel and Palestine have a huge impact on the ESG landscape. There was a shortage of gas and oil supply, which made especially European countries thinking about their energy supply. Germany started some of their coal power plants again, which they have shut down long time ago. “When it comes to survival, obviously you forget about ESG and you go back to the roots, such as coal. This is for sure the biggest reason why you find the current slowdown of ESG growth” mentions Mr. Khemka (Interview 1 / Pos. 24).

The population is still growing. In India the growth rate is almost 7 percent per year. Renewable energy just cannot keep up with this development. That is why in India there are many new capacities being set up to being able to serve this increasing demand. Another factor is that due to the ongoing conflicts and global power shifts, many countries want to become self-sufficient. This does not only include energy resources, but also for example the manufacturing industry. Mr. Khemka states: “The US is setting up their own semi-conductor

plants to not have to import them from Asia anymore. This point will also influence this whole ESG narrative" (Interview 1 / Pos. 24). The production of semi-conductors is not sustainable, but they want to become more independent.

Impact of institutional factors on ESG investment

The social pressures play a big role in shaping ESG investment decisions. As explained before, the constant pressure on the CEO of Deutsche Bank and the protests outside of the office resulted in a rethinking of business operations related to ESG (Interview 1 / Pos. 22). Also institutions and the government in many countries are rethinking their regulations of ESG. This is a result of the macroeconomic aspects like inflation and ongoing global conflicts. So the regulatory framework gets adjusted so that countries are able to be less independent (Interview 1 / Pos. 24).

Challenges and barriers

The main challenge on the investing side is that clients do not really care that much about ESG, especially in India. "They are mainly looking at returns", states Mr. Khemka (Interview 1 / Pos. 26). And it is just a fact that on average non-ESG funds yield higher returns. Secondly, on the lending side, there would be a lot of business opportunities that you need to let go. So, there are very large deals which you need to let go because of ESG restrictions. Especially in India, organisations usually do not want to let these opportunities slip (Interview 1 / Pos. 28).

The main task that Deutsche Bank is doing to address these challenges is client education. A lot of money is being invested into that. The bank tries to lead by example and raise the awareness for the importance of ESG and sustainability. One example is the ocean cleaning initiative, which the bank is sponsoring heavily. This should underline the ESG status of the bank and should motivate investors to invest in ESG funds (Interview 1 / Pos. 30).

Strategies and adaptations

The main strategic change is that Deutsche Bank stopped lending to certain sectors. Mr. Khemka explains: "That is a very big thing for a bank when you do not do business with dirty industries, because there is a lot of money stored" (Interview 1 / Pos. 36). Industries such as oil and gas, but also coal and gambling do not receive any investments from Deutsche Bank and their clients anymore (Interview 1 / Pos. 36).

Perception and experiences

The recent slowdown of the ESG investment growth rate has different reasons. Mr. Khemka mentions: “The main reason I think is that the returns are just not there. It is as simple as that” (Interview 1 / Pos. 38). Money became very tight globally after the banks started to raise interest rates, whether it is the federal reserve bank or ECB. When they raise interest rates but the rates of ESG investments are not going up, people will not invest in ESG. Also general liquidity became tight, due to higher interest rates and global uncertainty because of the conflicts and inflation. There is a massive shortage of money globally, especially in comparison with the last 3 years (Interview 1 / Pos. 38; Interview 1 / Pos. 40).

Future directions

The ongoing climate change will definitely boost ESG investing. Regulations, social pressures, and business standards imposed will increase (Interview 1 / Pos. 42). Also, when in India or other developing countries climate change will cause serious damage, I think people will start to change in their investment behaviour (Interview 1 / Pos. 44). And Deutsche Bank is putting a lot of money into their ESG department to prepare for future changes and an increasing importance of ESG. “There is a lot of investing into our ESG department and frameworks are being build. But it is in the starting phase” (Interview 1 / Pos. 46).

Recommendations and insights

A lot has been happening on the E-side of ESG. There is a lot of awareness, and companies are trying to enhance their ESG investment strategies. But special focus should be on governance. Especially in countries like India, the governance could be improved a lot. “A lot of governance is not monitored”, describes Mr. Khemka (Interview 1 / Pos. 48).

Final thoughts

The whole measurement of ESG factors, especially governance, is very subjective. It is very difficult to measure it or to put it into a framework. The ESG framework is not very far developed yet. At least outside of central Europe. Mr. Khemka states: “It has a lot to do with trust, and trust takes a lot of time to build” (Interview 1 / Pos. 50). Another part is the brand name of the company. Global large companies have an advantage. But it is a very complicated topic that will be a big part of our future (Interview 1 / Pos. 50).

Interview 2

General background and context of institutional theory

The role of the Mrs. Zanini is customer relationship manager. One of her primary tasks is to ask clients about their ESG preferences and to explain the ESG options of LLB to them. Mrs. Zanini explains: “Private customers do not care so much about ESG funds as it may seem” (Interview 2 / Pos, 2). The main aspect is return. LLB is giving the customers a lot of information about ESG und sustainability, but in the end the customer decides where he wants us to invest his money (Interview 2 / Pos. 2).

According to Mrs. Zanini, institutional theory is definitely applying to the ESG landscape. The regulatory framework needs to be followed. Also social expectations influence the operations of LLB a lot. “It pushes us to more sustainable practices and towards ESG funds”, states Mrs. Zanini (Interview 2 / Pos. 6). LLB has a report called the TCFD-Report from 2022. Mrs. Zanini cites from the report: “The EU wants to be climate neutral by 2050 at the latest. A key role should play the financial industry. Sustainable capital flows should finance the change” (Interview 2 / Pos. 8). LLB is following ESG ratings strongly. Companies from industries such as tobacco, casinos, atom energy, defence and weapons are being excluded from the investment strategies (Interview 2 / Pos. 9).

Legal regulations and compliance

The EU implemented some sort of regulatory framework to push the development of ESG in finance. Now there are types of green financial products regulated in the EU-disclosure regulation (SFDR). Financial products get classified according to article 6, 8 and 9. Article 6 funds or investment options are usually not including ESG standards. Article 8 financial products are called “light-green” and are taking ESG criteria into consideration, even though they do not have a big impact. Article 9 products are called “dark-green” and are the highest classification regarding ESG. They also do have a significant impact, which is also called impact-investing (Interview 2 / Pos. 8).

This changed the investment strategies of LLB a lot. Mrs. Zanini explains: “We now have a global passive in LLB impact climate shares of 580 million CHF. In Green Bond Fonds LLB impact climate obligations globally there are 135 million CHF invested” (Interview 2 / Pos. 8). Another example for the effect of legal aspects on the ESG investment strategy was a referendum in Liechtenstein about the energy law. The people of Liechtenstein voted against the exclusion of new oil or gas heating systems in the country. Therefore LLB is not offering

more credits in the renewable energy market for the habitants of Liechtenstein, since the people just do not want it (Interview 2 / Pos. 10).

"The trend is definitely that regulations are being developed towards more ESG. But as I said, it is not yet very developed", describes Mrs. Zanini (Interview 2 / Pos. 12). There are no regulatory pressures that customers need to invest in ESG. But overall the implementation of the EU Green Deal, the EU taxonomy and the classification of article 8 and 9 are changes that have a significant impact on the ESG investment landscape and the strategy of LLB (Interview 2 / Pos. 12).

Industry standards and norms

There are certain industry standards arising. The overall trend is towards more ESG and sustainable investments. The LLB takes a leading role within the financial industry in Liechtenstein, Switzerland and Austria. For example, since 2021, their banking operations are 100 percent climate neutral. The goal is to decrease the own CO2-emissions by 20 percent until 2026. Mrs. Zanini mentions: "Our bank products will decrease their CO2-emissions by 20 percent until 2026" (Interview 2 / Pos. 14). LLB is also on the forefront of constantly increasing the product portfolio of sustainable investment options. The bank wants to become net-zero in terms of emissions until 2040. According to Mrs. Zanini, the bank is currently using 87.5 percent of renewable energy in their banking operations. Besides that, the bank takes zero new investments into the oil and gas industry. They are clearly setting new standards. And 90 percent of the in-scope investments are taking ESG criteria into consideration (Interview 2 / Pos. 14).

Mrs. Zanini claims that there is some sort of isomorphism in the financial industry, but it is only in the beginning, and it is a process that will take a lot of time. For a small country like Liechtenstein, it is easier to create such an isomorphism, since the total amount of organisations is smaller. But in comparison, in a country like the US it takes much longer (Interview 2 / Pos. 16). But LLB is taking a leading position within the industry when it comes to ESG (Interview 2 / Pos. 14).

Social expectations and pressures

There is without a doubt social pressure from stakeholders. This includes the topics of climate change, diversity, equality, and governance. The people demand the bank to act. And also, they want to be part of this development. Mrs. Zanini states: "If there would not be pressure from social or stakeholder side, I think this process would still happen, but much

slower" (Interview / Pos. 18). The bank is developing their whole operations towards more ESG and sustainable business practices. This is also because society has a big impact on the government, and they are impacting the financial market and the FMA (Financial Market supervision institution Liechtenstein). So everything is connected with each other and influencing everything. This societal change had big impacts on our whole strategy and business structure (Interview 2 / Pos. 18).

Macroeconomic and global trends

Mrs. Zanini states: "The global trend of sustainability, gender, and climate change are impacting the ESG landscape a lot. That is why the frameworks are being implemented and why we are changing our whole business towards sustainability" (Interview 2 / Pos. 20). Besides that, the factors of high inflation and money shortage are affecting the industry. There is less money floating in the market and people are thinking about security, especially in the short-term. In the investment landscape, there is uncertainty. Of course, also the ongoing conflicts relate to that (Interview 2 / Pos. 20). Mrs Zanini explains that people have more important problems right now, to a certain extent. Inflation is just so high that people cannot afford long-term sustainable investment options. They need the returns now, and they should be as high as possible (Interview 2 / Pos. 20)

Impact of institutional factors on ESG investment

The main influencing factor is social pressure. This is the source of everything else. Social pressures influence regulatory institutions, which then impose rules and regulations that directly impact financial organisations. But it is important to highlight that all institutional factors are connected with each other. One influences the other, which then also influences the next one. So you just need a starting point, and then it only takes time (Interview 2 / Pos. 22).

Challenges and barriers

The main challenge is that the demand for ESG products is not as high as a few years ago. The returns are not on the same level as in non-ESG products. Therefore, investors tend to not include ESG options in their investment portfolios. This is not generally speaking. It just applies to the majority of investors. There are no regulations hindering the increasing growth of ESG (Interview 2 / Pos. 24). To face these challenges, LLB is trying to educate the customers and to

offer a huge variety of ESG investment options. And when the bank is investing their own money, it is fully in ESG options (Interview 2 / Pos. 26).

Strategies and adaptations

The bank restructured their business strategy a lot. Mrs. Zanini explains that they implemented an impact obligation fund which is classified after article 9. 34 percent of this capital in the fund is invested into renewable energy, 25 percent into clean transportation, 18 percent into green buildings and infrastructure, and 20 percent into energy smart technologies and energy efficiency (Interview 2 / Pos. 28). Another example of how LLB adapted their strategy is ACT-26. This is the new climate strategy of LLB. It contains 4 pillars, which are climate chances, organizational risks, climate risk factors, and influences of climate change. It is all about creating new sustainable products and services for customers. ACT-26 also includes the overall goal of CO2 reduction of the bank of 30 percent by 2026. The focus is also on the different risks which could affect the bank in relation with the implementation of ESG. These risks are risk of liquidity, risk of credit, operational risk, market risk, and reputational risk (Interview 2 / Pos. 28).

Perceptions and experiences

Mrs. Zanini explains: “One important factor why the growth of ESG investments is declining is the missing wish of clients to invest in ESG funds. This has many reasons, and I think one of them is just inflation” (Interview 2 / Pos. 30). Many customers prefer investments in dirty industries which gives them higher short-term returns. They do not think in long-term. This influences the institutional factors in a way that they do not get further developed fast. The market and institutions are implementing what the people want, at least most of the time. And ESG is just in the starting phase, it only came up in the financial industry 5 years ago. Restructuring the whole financial industry is very complex and will take much time. But still, in only 5 years it impacted the industry and institutional factors a lot (Interview 2 / Pos. 30).

Future directions

Mrs. Zanini thinks that ESG investing will grow a lot over the next 10 years. When the geopolitical and economic situation in the world will be better again, the ESG trend will rise. The factor of sustainability will again be in focus and people will have more money to invest

(Interview 2 / Pos. 32). LLB is fully preparing for this trend to become crucial for the financial industry. The business strategy will be aligned to new institutional factors. They will be ready to serve customers who want to invest in ESG funds (Interview 2 / Pos. 34).

Recommendations and insights

Organizations should try to change their strategy towards ESG and make it their core concept. Their product and service offerings should be massively including ESG factors. It is a difficult process, but Mrs. Zanini highly recommends it to not miss out on the development which is unstoppable (Interview 2 / Pos. 36).

Further research could be done in the social and governance aspect. Environmental aspects and sustainability are already in the focus of research for many years, but many people forget about social and governance. These are also crucial for sustainable business development (Interview 2 / Pos. 38).

Final thoughts

Mrs Zanini states: "We had some years of a boom, and now it is slowing down. This is due to the geopolitical factors, the lower returns, inflation, and the missing development of institutional frameworks. But I think this will all improve in the next 10 years, and we will see a different financial industry in the future" (Interview 2 / Pos. 40).

Interview 3

General background and context of institutional theory

The role of Mr. Giesinger is that he was a partner at a private equity fund for over 15 years. He was also part owner or limited partner of the company. There was a lot of institutional investors, and you need to clarify various regulations, and ESG is also a big part of that (Interview 3 / Pos 2). Due to institutional factors, there are now 10 principles included in the guidelines of the company. This includes human rights, labour standards, anti-corruption, etc. (Interview 3 / Pos. 4). Institutional theory shaped the company's approach, because now it is needed to go through ESG requirements when talking to investors, especially institutional investors, like pension funds and insurance companies (Interview 3 / Pos. 6). Due to institutional factors, many companies included 4 pillars of ESG. This includes an ESG risk matrix, a code of conduct, a monthly reporting of the companies with various KPI's and a

regular reporting where an action plan has to be created (Interview 3 / Pos. 8). Certain KPI's are stuff turnover, loss time due to injury, energy consumption per output, innovation indicators like how much sales are made with products that have been introduced in the last 3 years, and others. Investors now pay attention to investments into organizations from "critical" countries. Countries, that consume a lot of dirty energy and do not take ESG very seriously (Interview 3 / Pos. 8).

Legal regulations and compliance

In Switzerland ESG regulations are checked by the Financial Market Authority. They also have a lot of power in the development and application of ESG. They influenced the current ESG landscape a lot (Interview 3 / Pos. 10). Mr. Giesinger states: "We work with a lot of banks. There are various disclosure topics and reports" (Interview 3 / Pos. 14). That means that when working together with banks, you automatically also need to follow their ESG regulations. So, it affects the company a lot. Besides that, the company excluded investors from the Middle East since this region does majorly not align with European ESG standards and regulations (Interview 3 / Pos. 14). Another example for an imposed rule is that fund managers at partner level cannot longer change. The reason for that is they want to regulate governance stronger. The task is when to decide on investments, we need to take that into consideration (Interview 3 / Pos. 16). There are also reporting regulations. Large companies are required to write annual reports on ESG and disclose them to the Financial Market Supervisory Authority. Besides that, the EU has also issued the Taxonomy regulation. Mr. Giesinger explains that this determines which industries are exemplary and considered environmentally friendly (Interview 3 / Pos. 16). In Switzerland, every stock corporation must carry out a risk analysis every year. This is where a systematic ESG structure is pursued (Interview 3 / Pos. 20).

Industry standards and norms

There are no written standards within the industry, but just the overall trend is towards more ESG. A general perception of investments that align with environmental sustainability and standards regarding sustainable corporate governance are examples for this (Interview 3 / Pos. 18). What also became standard in the financial industry is that now there are many consultants who specialize only in ESG. Therefore, organizations are becoming more similar in this regard. Also, institutional pressures are prompting financial organizations to move in this same direction and companies are copying each other's ESG cues (Interview 3 / Pos. 20).

Social expectations and pressures

According to Mr. Giesinger, there is a lot of social pressure. Institutional investors are exerting a lot of pressure and the basis for their decisions is our society. In the end, everybody is part of the society and people want more sustainability and ESG. This just does not mirror in their investment decisions, because when it comes to money, people start to be egoistic. But still the sustainability trend is enormous (Interview 3 / Pos. 22). “The expectations of investors are very high when it comes to ESG, and we have to meet those expectations. However, we are not yet as developed as it sometimes seems”, explains Mr. Giesinger (Interview 3 / Pos. 22). Another example for the influence of social expectation is the problem the company had with one of the largest German electronics producers in their fund portfolio. For some reasons, this producer laid off many employees in one swoop, which led to a public outcry in terms of governance issues. Many of our investors did not want to invest in this fund anymore, which led to big losses for us (Interview 3 / Pos. 22).

Macroeconomic and global trends

Inflation is high, especially in Europe, and this is influencing social movements. The conflicts in Ukraine and Palestine are also big factors in the slowdown of ESG growth. Topics like sustainability are just not as much in the focus right now. An example to illustrate this is the recent elimination of premiums for the purchase of electric cars (Interview 3 / Pos. 24). Another example for the current switch towards stability and away from sustainability is a manufacturer of medium-voltage transformers. They are included in the fund of this company. They were on the verge of bankruptcy 2 years ago. Now they have risen meteorically and are now as profitable as never before. Medium-voltage transformers are widely used in nuclear power plants (Interview 3 / Pos. 24).

Impact of institutional factors on ESG investment

The regulatory environment has not changed that much in the recent year. All institutional factors have simply decreased in pressure due to the geopolitical and bad monetary situation globally. It is easy to explain (Interview 3 / Pos. 30).

Challenges and barriers

One challenge is just the lower return of ESG funds (Interview 3 / Pos. 28). Another

challenge is to implement a corporate culture that really accepts ESG and is convinced by it. Mr Giesinger explains: “Furthermore, measuring ESG data is difficult. The measurability of all ESG factors is simply not consistent. There is a lack of comparability across various industries and over a long period. There is a lack of data” (Interview 3 / Pos. 32). Organizations need to be convinced by ESG and there needs to be an action plan for the implementation in the long-term. Besides that, as long as the current geopolitical conflicts continue and inflation does not come down, ESG will not improve much (Interview 3 /Pos. 34).

Strategies and adaptations

Most of the “non-green” industries were excluded from the fund portfolio. Moreover, funds from countries where it is not possible to trace the source of the money have also been eliminated. This includes countries like Qatar, Kuwait, and Saudi Arabia. Mr. Giesinger mentions that they try to include everything and consider all ESG factors. This is uniformly possible through a sustainable corporate strategy. (Interview 3 / Pos. 36). “Our main influencers are institutional investors, who in turn reflect a bundling of various institutional factors. Everything is interconnected and affects each other” (Interview 3 / Pos. 36).

Perceptions and experiences

Mr. Giesinger explains the current slowdown of ESG growth as a result of the current global political conflicts, the loss of subsidies, government intervention, and inflation. The general investment market has declined, and that also affects ESG funds. He states: “When people have less money to spend, they can invest less money. This is especially true for ESG funds, which generally tend to yield lower returns. The market is very volatile at the moment, which explains some of the fluctuations” (Interview 3 / Pos. 38).

An example for the impact of institutional factors on ESG investment trends is the company “Holcim”. It is based in Switzerland and is one of the largest cement producers in the world and is listed on the Swiss stock exchange. Cement production is very harmful for the environment and there was a lot of social pressure because of that. They have invested enormously in production and 30 percent of their turnover in non-cement areas. The goal is to produce more sustainably and switch to other solutions. This clearly shows the influence of institutional factors on even global corporations (Interview 3 / Pos. 40).

Future directions

Institutional factors and ESG in the financial world, but also outside of it, will grow. The pressure from investors and institutions is increasing (Interview 3 / Pos. 42). The company of Mr. Giesinger is increasingly looking at ESG investment options, incorporating sustainable factors into the investment decisions, and implementing a sustainable corporate structure to be ready for a future increase in regulations and overall ESG (Interview 3 / Pos. 43).

Recommendations and insights

People and organizations need to take ESG seriously. There needs to be a certain structure to implement ESG in investing fundamentally. "ESG must be lived", describes Mr. Giesinger (Interview 3 / Pos. 45). The least analysed factor is governance and should receive more focus. There are almost no measurements, regulations, and expectations. Conflicts of interest hinder sustainable corporate governance and there is a lot of room for improvement (Interview 3 / Pos 47).

Final thoughts

Mr. Giesinger explains: "ESG needs to become more measurable. It is not enough to do the right thing, you have to do it continuously and measure. This is the only way to implement ESG in a meaningful way and in the long term. ESG will become an integral part of the financial industry" (Interview 3 / Pos. 49).

<u>Interview 4</u>

General background and context of institutional theory

Mr. Bhuta is CEO of a multidivisional investment company. He describes that his role is to find good investment opportunities in different industries and to then also take ESG factors into consideration (Interview 4 / Pos. 4).

There is definitely a big impact of ESG, but more on a global perspective. In India ESG is not a top priority, neither from a governmental or organizational perspective. The awareness is getting higher, especially from large Indian MNCs. Also, some big Indian corporations already developed ESG standards, but it is just a minority. But it goes without doubt that globally institutional factors are pushing ESG in investing a lot. And that will also happen in India within the next 20 years (Interview 4 / Pos. 8). "In India there are not really any

institutional frameworks, especially not from the regulatory side", explains Mr. Bhuta (Interview 4 / Pos. 10). But when investment comes from outside of India, for example Europe or the US, those institutional frameworks are also being imported. Therefore, the frameworks from foreign companies affect the Indian investment landscape (Interview 4 / Pos. 10).

Legal regulations and compliance

There are new rules in the planning for ESG in India. Certain frameworks are being developed, but there is no stable framework implemented yet. India is very different from Europe or the US. Due to the fact that it is a developing country, many things are not as advanced. This includes topics like sustainability and overall ESG. The checking if companies are following ESG rules is another issue. But for example, all Indian companies who are listed on foreign stock markets need certain CRS investments This is compulsory, otherwise there are penalties. There is a regulatory influence on some Indian companies. Mr. Bhuta states: "And similarly, now if a company can establish a nice ESG governance, then people or investors do give some premium to such companies. So, the acceptance of ESG as an investment framework is rapidly increasing" (Interview 4 / Pos. 12).

Industry standards and norms

Due to the low developed state of ESG in India, there are also no fully implemented industry standards and norms. But one key element here are again foreign investors, especially foreign institutional investors who are coming to the Indian market. They are investing their money in Indian companies and also want to impose certain ESG rules and standards. The institutional investors need that, otherwise their investments are going to be criticized. One sphere where this has huge influence is the Indian startup world. They are doing extremely well. And those foreign investors are ensuring that these companies are following their ESG frameworks. Therefore, the financial industry is really affected by this (Interview 4 / Pos. 14). But the development is not at a stage where you can speak of any form of isomorphism. In India this is not the case, in Europe it is for sure developed, but not there (Interview 4 / Pos. 16).

Social expectations and pressures

In India there is also no big social sustainability trend like in Europe. Especially not from an investment perspective. Investors do not shy away from companies which are not ESG

compliant. That also applies for the organization of Mr. Bhuta. In India this is just not a priority, at least not yet. From an investor's perspective, the margins from a coal project compared to a renewable energy project are just much higher. Besides that, the cost of production (CAPEX) in a coal plant is just at least 2 times lower than for example in a solar project. Mr. Bhuta mentions: "From an investment perspective, it is all about profits. So, if ESG investment funds and projects cannot match the returns of non ESG funds, they have a hard time to match the investment volume and attraction" (Interview 4 / Pos. 18).

Macroeconomic and global trends

Sustainability and climate change are important global trends. Everybody feels it and it affects ESG investing on a global scare. The awareness is much higher than 5 or 6 years ago and that is also the reason why it made the global development like it did (Interview 4 / Pos. 20). The current conflicts in Ukraine and Israel cause resource issues and capital flow. Capital is rare in the world right now. People focus on security and on investment options that bring them returns now and not in 5 or 10 years. That is why non ESG funds are more popular. There is also just less money to spend now, compared to some years ago. Moreover, global inflation is a bad influence for all investments. These reasons take the focus off from ESG and put it on pure short-term profit Interview 4 / Pos. 20).

Impact of institutional factors on ESG investment

The predominant institutional factors are simply the missing social pressures and the non-existent regulatory framework in India. Foreign investors bring their foreign ESG frameworks. This is affecting Indian MNCs and startups. But it is far to say that the total Indian investment market is affected by institutional factors (Interview 4 / Pos. 18).

Challenges and barriers

One of the main challenges in general but also for the organization of Mr. Bhuta is the initial CAPEX. This is a substantial issue. Secondly, it is about the society and how it develops in the next years. If the society does not demand ESG in their investment decisions, there will be almost no development in that aspect. Mr. Bhuta explains: "Commercial organizations will always feel that it is not their job. It is the job of the government to implement ESG and of the society" (Interview 4 / Pos. 22). Being ESG compliant and sustainable in terms of business

practices is always great, but when it is at the cost of the organization, it is very hard to develop in India. Especially in developing countries, business is only about money (Interview 4 / Pos. 22).

Strategies and adaptations

The organization of Mr. Bhuta is trying to align with certain ESG norms. But to the extent that it does not cost them too much money. Otherwise, the business will just not survive. Internal they are following ESG aspects, like good governance, but externally, the Indian investment market is just not at that stage yet (Interview 4 / Pos. 24).

Perceptions and experiences

According to Mr. Bhuta, many people just do not think in the long-term, they think about short-term profits. And that is where non ESG funds just give better returns. The only institution that can follow long-term visions is the government. Individuals and smaller organizations have to operate in short-term requirements. They just cannot afford it. And that is a big factor why the first big boom of ESG is now slowing down (Interview 4 / Pos. 20). Besides that, the slowdown of ESG growth is also due to the global slowdown of the overall economy. This is due to conflicts, inflation, and global geopolitical power shifts. Mr. Bhuta mentions: “If you want to make people focus on things like ESG which is just unproductive in business terms, it is hard. Nobody has anything against ESG or sustainability, but in current times profits are just more important” (Interview 4 / Pos. 26).

Moreover, the institutional framework outside of Europe or the US is just not given. If people have less money to invest like right now, that also means that even if they invest the same percentage of their money, the overall amount invested in ESG funds decreases (Interview 4 / Pos. 26).

Future directions

ESG started to really develop in the financial sphere 5 or 6 years ago. Until today, the needed shifts did not happen to implement it on a global scale. It is changing and further developing, but it will take a lot of time, especially in developing countries. Mr. Bhuta explains: “People of course care about socially relevant projects and sustainability, but not to the extent that is pictured in any global reports of Bloomberg, McKinsey, or others” (Interview 4 / Pos.

28). In the next two decades the ESG development will be very strong. The overall awareness is high, and people care more about the environment. Even if right now it does not show in their investment decisions, the future climate change will make the people change. It is just a matter of time. But also, the profitability of ESG funds and investment options need to increase soon, otherwise the implementation of ESG will take very long (Interview 4 / Pos. 28). Mr. Bhuta states: After the conflicts will end, money again will be flowing around easier, and people will have more money to invest. This will also increase the growth rate a lot" (Interview 4 / Pos. 30).

Recommendations and insights

"If companies have the capabilities to align with ESG standards, I would advise them to follow it right now. They will be in a very good position in 5 or 6 years when the government will come up with stricter rules and restrictions", mentions Mr. Bhuta (Interview 4 / Pos. 34). A special focus in terms of research, but also investing, needs to be done in governance. Usually, the focus is almost only on the environment, but governance should not be forgotten. It is a very important part of any business, and investors take it into consideration while doing their investment decisions (Interview 4 / Pos. 38).

Final thoughts

Mr. Bhuta mentions: "I believe ESG is here to stay, and it will grow a lot. We all have to adopt to it, although maybe with some adaptions here and there. I think this is the reality of our lives, and this includes all ESG factors. It will shape the future of the investment landscape very much" (Interview 4 / Pos. 40).

<u>Interview 5</u>

General background and context of institutional theory

Mr. Bitterwolf is originally a banker, fund manager, and asset manager. He has a lot of experience due to his position as managing director of an asset management company in Liechtenstein for 14 years. They include 15 investment funds. Now Mr. Bitterwolf is self-employed and is a leading ESG and sustainable finance expert in Liechtenstein. He is CEO and part owner of Medio GmbH, a consulting firm for sustainable finance and ESG (Interview 5 / Pos. 2). Mr. Bitterwolf consults the largest management consultants and banks in Liechtenstein

and the surrounding area (Interview 5 / Pos. 2).

There is a regulatory framework of ESG. Now companies have to include certain ESG aspects. First, because they have to, due to company size and influence. Second, because they want to do it voluntarily. Institutional factors, social influences, norms, and standards have a significant impact on ESG in finance (Interview 5 / Pos. 4). These institutional factors resulted in the current principle, which is "compliant or explain". Companies need to either be compliant to ESG, or they need to explain why they are not (Interview 5 / Pos. 6). ESG means a big change, especially for smaller companies. Many are reluctant to embrace ESG. This also explains party why ESG's momentum slowed down. Now there is the disclosure regulation, which regulates financial companies and products. Mr. Bitterwolf explains: "There is article 8 "light green" and article 9 "dark green. More than 50 percent of all investment funds in Europe are article 8" (Interview 5 / Pos. 6). The question is just, if they are really sustainable. The measurements are not very strict. As a dark green fund, you cannot invest in the broad market. You have to make focused impact investments. The regulations are very strict, which fears off many people.

The ESG development is like the famous S-curve. There is always a boom, and then the trend flattens out. Now the organizations in the financial industry must ask its customers whether they have sustainability preferences or not. There are still high inflows into sustainable products, just not as many anymore (Interview 5 / Pos. 6).

Legal regulations and compliance

They influenced the ESG landscape and my organisation a lot. Liechtenstein is a member of the EMF. There is MIFIT2, which are regulations about investor protection. It regulates, how investment clients have to be treated. Mr. Bitterwolf explains: "Since 2022, European regulations have required the bank to ask customers about their ESG preferences. But many companies do not yet report according to ESG standards and are not yet transparent because they do not have to yet" (Interview 5 / Pos. 8). There is the reporting obligation CSRD, or Corporate Sustainable Reporting Directive. If you have over 250 employees and make over 40 million Euro turnover, you are obliged to create a sustainability report (Interview 5 / Pos. 8).

Then there is SFDR, Sustainable Financial Disclosure Regulation. It regulates financial institutions and their products according to ESG standards. And then there is the EU taxonomy. This is a scientifically based classifications system of economic activities (Interview 5 / Pos. 10). Mr Bitterwolf states: "I was just talking to auditors yesterday. I asked them what and how

strictly they check this compliance, and they told me that they do not have a plan yet. So even the biggest auditors in Europe are not ready yet" (Interview 5 / Pos. 12). For the 2025 audit in Q1, financial companies in Liechtenstein are required to have an auditor in-house who will check ESG standards (Interview 5 / Pos. 12).

Industry standards and norms

They are developing within the industry. IFRS published two new standards, IFRS 1 and IFRS 2. These are industry frameworks for climate and biodiversity aspects (Interview 5 / Pos. 14). But still there is the need for standards for sustainability reporting (Interview 5 / Pos. 14). Other examples are GRI and SASB. GRI standards focus on the economic, environmental, and social impacts of a company in relation to sustainable development. SASB standards focus on sustainability issues to influence investor decision-making (Interview 5 / Pos. 16). Isomorphism is somehow developing within the industry. The companies are developing in the same direction, but just not fast (Interview 5 / Pos. 18).

Social expectations and pressures

Social expectations and pressures influence ESG tremendously because everything comes from society. The society is already so developed that there is a lot of pressure for change. These pressures put all companies in a position where they certainly need to take ESG into consideration. This process can no longer be stopped. Young people want to work for sustainable companies, which also drives the companies towards ESG development and investments. Impact is becoming more important for people, and this is also the reason why ESG is growing. Slower, but still growing (Interview 5 / Pos. 20).

Macroeconomics and global trends

The two conflicts with Russia-Ukraine and Israel-Palestine have a big impact. They are drawing the focus away from ESG and sustainability. These issues are more important for many people right now, and I understand it (Interview 5 / Pos. 22). Another big factor is the resulting inflation. Also, resource scarcity is a problem and drives people away from renewable energy and sustainable solutions. They cause investors to think differently and to not focus on ESG right now (Interview 5 / Pos. 22).

Impact of institutional factors on ESG investment

The main factors are the changing social aspects, the conflicts, and inflation. Mr. Bitterwolf mentions: “If the pressure from society does not increase, ESG development will not increase again” (Interview 5 / Pos. 24). Currently, people are focusing on themselves, rather than the environment and sustainable business practices. The imposed regulations have a big impact, but they are also complex and scare many organizations. They do not want to take any risk of greenwashing, and therefore they take a step back from ESG. This is especially applicable for smaller organizations. They are waiting until the framework and the regulations are ready and then they start. This is also true for smaller banks. In banking, everything is very strict and regulated. They are scared that they are doing something wrong (Interview 5 / Pos. 26).

Challenges and barriers

One challenge is the systematic collection of data and to set up reporting in a standardized and comparable way (Interview 5 / Pos. 4). Mr Bitterwolf states: “It is very important that sustainability is not just a tick-to-box exercise. It has to be lived” (Interview 5 / Pos. 12). Organizations have to be credible and compliant (Interview 5 / Pos. 26). Most of the organizations do not want to be the first mover for ESG and ESG products. It is a big risk. Especially when it requires high capital expenditures (Interview 5 / Pos. 42).

Strategies and adaptations

Most companies have not done much in their strategy. It takes long time to adapt the strategy to the new ESG requirements. Mr. Bitterwolf explains: “We advise companies on strategy implementation, but this is still very poorly developed and always requires very individual processes” (Interview 5 / Pos. 28). The most important aspect to push ESG forward is legal regulation. This is where the biggest focus is, and it also plays a significant role for strategy adaptation (Interview 5 / Pos. 30).

Perceptions and experiences

One main part of the explanation for the current growth reduction of ESG investments is the principal of the S-curve, like mentioned earlier. Many investors are afraid right now and are waiting for future developments. Besides that, there are many penalties for wrong compliance

with ESG regulations. That scares organizations. And global conflicts are also main drivers of the slowdown of growth (Interview 5 / Pos. 32). Mr. Bitterwolf mentions: “At the end of the day, it all depends on society. If they have the opportunity to invest in ESG funds and want to do so, the growth will increase again. And this has the effect that institutions implement fewer regulations because there simply is no market for it” (Interview 5 / Pos. 32).

The impact of institutional factors is also shown at the reclassification of funds into article 8 and 9. If you have a fund and you are not at least article 8 compliant, institutional investors in Europe will not even notice you (Interview 5 / Pos. 34).

Future directions

Mr. Bitterwolf states: “It is definitely going mainstream” (Interview 5 / Pos. 36). Europe wants to be the pioneer in ESG. But also in Asia there is a lot going on with taxonomy and regulations. ESG will be a crucial part of the future of finance, but also the overall economy. The industries that will not evolve and align to ESG will perish. Society will evolve so much in the direction of sustainability and ESG that it will be impossible to avoid this topic (Interview 5 / Pos. 36). Mr. Bitterwolf explains: “It will be also very interesting to follow BlackRock and Vanguard. These giants will never deviate from the sustainability trend” (Interview 5 / Pos. 36). What the company of Mr. Bitterwolf now does, is helping other organizations in their ESG alignment, for example in the creation of a sustainability report (Interview 5 / Pos. 38).

Recommendations and insights

The implementation of ESG requires the necessary resources and can also lead to high costs, especially at the beginning. But implementing ESG now is much better than some years ago. It is crucial to start now to not miss the future of finance (Interview 5 / Pos. 40). Companies should also focus on the governance aspect. This is important for investors in Europe (Interview 5 / Pos. 42).

Final thoughts

Mr. Bitterwolf states: “ESG is an extremely important topic and will be with us for a long time. I am curious to see how that will play out, but I am confident” Interview 5 / Pos. 44).

Interview 6

General background and context of institutional theory

The interview partner of the sixth interview is working in equity brokerage investment banking for over 25 years. He is Head of Equities at one of the biggest German private banks. Institutional factors and ESG came up in the last 5 years and are influencing more and more of the investment process. The clients of this bank are exclusively large institutional investors. These investors have been driving ESG over the recent years (Interview 6 / Pos. 2). There is a clear focus on ESG from the investor side. Rating agencies check and analyse the process of listed companies. There are several rating agencies that publish ESG ratings. Many companies now are required to publish an ESG report and address ESG issues in their financial statements. This has become standard in the industry. Interviewee 6 explains: "The listed companies try to get the most attractive rating from the ESG rating agencies, because the fund managers who invest in public companies also have a KPI in their portfolios, namely the average ESG score" (Interview 6 / Pos. 4).

There are also exclusion criteria in the investment guidelines of the funds which describe to which ESG score they invest in companies. Therefore, it is clearly visible that institutional factors had an impact on the financial landscape and ESG. If companies in the banks fund portfolio fall below certain ESG scores, they are no longer attractive to investors and therefore block access to capital inflows (Interview 6 / Pos. 4).

Legal regulations and compliance

There are regulations for ESG funds. They describe lists of companies that may be in the investment universe but exclude many companies that are not investable. These are companies with poor ESG ratings or a certain industry background, such as oil, gas, gambling, and defence industry (Interview 6 / Pos. 8).

Interview partner 6 mentions that the main driving force for ESG-compliant investments is legal regulation. Otherwise, organizations would not align. The EU introduced the Green Deal and the Taxonomy. This changed the landscape in recent years. Moreover, there are regulations to reduce global warming and others. Interviewee 6 explains: "They are not designed directly for the financial industry, but indirectly, because the financial industry is a decisive force for the development of companies and therefore the economy. This is a decisive factor and that is why these regulations influence us a lot" (Interview 6 / Pos. 10).

Industry standards and norms

On the governance side, an attempt is being made to strike a balance between men and women in management positions. Many organizations have high goals regarding their carbon footprint. This became standard. They have become widely accepted. And of course, that influences the bank a lot, because investors want the bank to invest into companies that meet these industry standards (Interview 6 / Pos. 12). This is influencing the investment strategy of the bank a lot and therefore the focus switches to such companies. One metric that can be named here is workforce retention. Isomorphism is in some way here. The organizations are developing in a similar way when it comes to ESG aspects (Interview 6 / Pos. 12).

Social expectations and pressures

In some aspects there are no prescribed rules, but due to investor and social pressure, the bank exclude certain “non-green” industries in their investment decisions. Interview partner 6 describes: “After all, social pressure has an effect on politics and, in the end, politics sets guidelines to which organisations and institutions must adhere” (Interview 6 / Pos. 16). This also applies to the bank. It needs this social coercion to develop ESG further. Only regulatory coercion is not enough. Social aspects are the main influencing factor. Organisations want to do justice to their stakeholders. This includes also employees, customers, and they are part of the society and reflect social opinions. And this demand for ESG is coming from the customers of the bank and this is the reason why ESG is so strongly implemented in the overall investment strategy (Interview 6 / Pos. 16). Fridays for future, Greta Thunberg, climate change, are all social factors that have a strong influence on the financial industry (Interview 6 / Pos. 18).

Macroeconomic and global trends

Interviewee 6 describes: “From a macroeconomic point of view, we are in a weak state in Europe. When companies make fewer profits, there is less money left over to invest in ESG and sustainability” (Interview 6 / Pos. 20). Besides that, the two conflicts in the world within Ukraine and Palestine are factors that make investing difficult now, especially ESG investing. Resources and money are scarce and there is uncertainty. This slows down the overall development of ESG (Interview 6 / Pos. 20).

Impact of institutional factors on ESG investment

Interview partner 6 explains: “In my field, there are very clear guidelines or investment criteria that are based on ESG ratings, in which investments can still be made. Requirements are set by the legislator, for example exhaust gas laws for cars” (Interview 6 / Pos. 22). And the regulations are getting stricter which is shaping the ESG landscape more and more. But the main aspect in terms of institutional theory is the social aspect. This is the base for every other aspect (Interview 6 / Pos. 22).

Challenges and barriers

The main challenge in the aspect of governance is that there is a shortage of female candidates for leadership positions. Also, the practicality is an issue. The overall institutional framework is only in its starting years and needs far more development. Even though in Europe the development is quite good, on a global scale there needs to be done a lot of work in order to implement ESG in a meaningful way (Interview 6 / Pos. 24). The topic is very comprehensive and has such a huge influence on everything, that it will take even decades to develop fully. Interview partner 6 states: “It is like open-heart surgery. It requires willingness, a long-term view, a structured plan, and everyone has to pull together” (Interview 6 / Pos. 24).

Strategies and adaptations

Simply the general focus on sustainability in all areas of the bank and in their investments has changed. The bank tries to comply with all ESG criteria of their investors. Interviewee 6 explains: “We analyse our investment projects in detail and control which companies we include in our funds” (Interview 6 / Pos. 26). The strategy of the bank is fully focused on the development of ESG. More and more ESG-conform investment options get included in the portfolios (Interview 6 / Pos. 26).

Perceptions and experiences

Interviewee 6 describes: “The transition from conventional fund structures to ESG-compliant fund structures is taking place. But the implementation of ESG projects in companies where things really change, and which cost a lot of money is caused by the fact that the global economy and companies are in macroeconomically difficult times (Interview 6 / Pos. 28). Besides that, inflation and the shortage of money in the market have a significant impact on the

reduction of the growth rate of ESG investments (Interview 6 / Pos. 28).

Future directions

ESG in the investment landscape will not leave. It will grow strongly and become a substantial part of finance and the economy. The criteria will have to be updated again and again, because some developments in the last two years were not beneficial, as interviewee 6 explains. One example for that is the exclusion of investments into the defence industry. With the ongoing conflicts, this was maybe not a smart move (Interview 6 / Pos. 30). Interview partner 6 mentions: "After all, at the end of the day, it has to be profitable and drive the economy forward. Structured plans with ESG incorporation are needed, but all the other factors that underpin today's economy must not be abandoned" (Interview 6 / Pos. 30). To prepare for future changes in the institutional ESG landscape is to create an optimal environment and framework for an ESG-compliant strategy which allows a fast implementation of new guidelines (Interview 6 / Pos. 32).

Recommendations and insights

Organisations that want to enhance their ESG investment strategies must ensure the creation of an environment that meets ESG criteria. Stakeholder involvement is important as well. The focus should be on long-term sustainability. They should analyse all regulations in depth in order to receive the best possible outcome (Interview 6 / Pos. 34). It is important to do further research and to enlighten the areas of social and governance. They are crucial for a sustainable development of the economy and many people often forget about them and only focus on the environmental aspect (Interview 6 / Pos. 36).

Final thoughts

Interviewee 6 mentions: "After all, the wishes of society are also to be implemented through political frameworks. Regulations should be created which encourage companies to operate more sustainable" (Interview 6 / Pos. 38). But some developments are misguided, such as the blank exclusion of certain industries like defence. This industry is in strong need to access the capital market, because the current geopolitical pressure is extremely high (Interview 6 / Pos. 38).

6 Discussion

This chapter discusses the gathered results with the theoretical foundation. Through this comparison, similarities and differences of the data gathered in interviews and the literature review are being highlighted.

6.1 General background and context of institutional theory

The interview partners have a lot of experience in the financial industry and with ESG investing. This includes positions of the managing director of the largest German bank in India, a partner of a private equity fund in Switzerland, the CEO of an Indian investment company, a customer relationship manager of the second largest bank in Liechtenstein, the CEO of an ESG consulting agency in Liechtenstein, and head of equities of one of the largest German private banks.

Institutional theory applies to the ESG investment landscape in a way that regulations and laws according to ESG standards get implemented, as well as social pressures and industry standards and norms. All these factors influence investment decisions. Organizations have to take these pressures into consideration to further develop their strategies and business success (Aksom & Tymchenko, 2020). This is also stated in the literature, but the empirical data shows that this development depends on the geographical area. In India, the application of institutional theory to the ESG landscape is only developing slowly. In Europe it is developed the furthest in global comparison. Rating agencies are being implemented to analyse the ESG development in organizations. In many large organizations, ESG reporting became a standard practice. There are certain KPIs that have to be fulfilled, such as the average ESG-score in the investment portfolio. Due to all these institutional factors the financial industry is moving towards sustainable business practices. This is also the outcome of the empirical data.

The institutional frameworks shapes organizations in different ways (Jepperson & Meyer, 2021). Large banks in Europe are adhered to not invest in companies that have an ESG score of less than 3 or 4, depending on the industry. In terms of governance, the track record of companies gets analysed. Investment organizations are now following ESG ratings closely and some of them are excluding companies from industries such as tobacco, betting, dirty energy, or weapons. New sustainable ESG funds get imposed, which changes the direction of organizations a lot. They get pushed towards active ESG implementation, otherwise there will arise difficulties in attracting capital. Code of conducts, compliance managers, and risk matrix are new tools that organizations implemented according to institutional pressures.

6.2 Legal regulations and compliance

Institutions impose regulations for ESG investments. The goal is to create a framework which drives organizations and investors towards higher investments in ESG projects. It should be the cornerstone of a sustainable development of the financial industry and the overall economy. The literature states that this is happening on a global scope (Aw et al., 2022). But this is also depending on the region. Outside Europe and the US, the development of regulatory frameworks is almost not existing. This applies especially for developing countries such as India. In Europe many new regulations are being implemented. There are referendums to include society into ESG regulatory decisions. In Switzerland, all listed companies have to do a yearly risk analysis about ESG. The financial market supervision is controlling the adherence to these laws (Andonov et al., 2021).

Europe implemented the laws of Corporate Sustainable Reporting Directive (CSRD), MiFID 1 and 2, the EU-taxonomy, Sustainable Financial Disclosure Regulation (SFDR), and other imposed rules are influencing the ESG strategies of organizations in a way that they have to be compliant, they need to ask customers about their sustainability preferences, and ESG reporting is obligatory after a certain company size. This drives organizations towards stronger implementation of ESG standards and options in their funds and portfolios. For certain banks there are strict rules on the lending side. Complete industries get cut out of investments, such as oil and gas, coal, tobacco, and others. The EU imposed the EU Green Deal and new fund-classifications into Article 8 and 9. Organizations now have to classify their funds which gives information about how ESG-conform their portfolios are. Moreover, certain regions in the world get cut out of investments due to being not in alignment with ESG standards, such as the Middle East or South-East Asia.

6.3 Industry standards and norms

Over time, industry standards and norms have been established in the financial industry when it comes to ESG. They guide organizations and their decisions in the same direction of sustainable practices (Avramov et al., 2022).

The interviewees agree that industry standards especially impact governance. They act like unwritten rules or guidelines which brings organizations to increasing their product offering of sustainable investment options. Besides that, emission targets of organizations have been set. This affects the business operations itself and the investment products. According to the literature, this leads to more sustainable investments, which is confirmed by the empirical

results. Through these standards, ESG just becomes more important in the financial industry. In India, foreign institutional investors bring these standards with them when investing in the Indian market. Investors strive for sustainable investment decisions. Diversity is being increased in companies since this attracts ESG investments.

Isomorphism is becoming a crucial factor within the industry and overall investments (Posadas et al., 2023). The interviewees state that this adheres more to larger organizations. In Europe they are becoming more similar in terms of ESG practices. Organizations look at business-best-practices and try to implement them. They follow the same guidelines and therefore isomorphism is definitely applying and developing in the financial sector.

6.4 Social expectations and pressures

In the existing literature it is mentioned that the social movement towards more sustainability influences the financial industry (Dmuchowski et al., 2023). Movements like Fridays for future, climate change, and social diversity aspects influence the financial sector (Zickus, 2024). This is confirmed by the interviewed persons. They explain that the root for all institutional factors is society. All pressures arise from a social perspective and therefore this is the most crucial institutional factor for most of the interviewees. It influences politics and rule makers. But also, here we diversify geographically. In India the social pressure regarding ESG is still very low. In Europe society is changing towards sustainability in a massive way, but still the investment decisions show a slightly different picture. Due to the pressure, organizations are increasing their ESG portfolio and creating ESG funds, but the most important criteria for the majority of investors is return.

But still organizations have to align to the social sustainability pressure, otherwise institutional investors would leave. For private investors, return is the crucial aspect, not ESG. From their own experience of the interviewees, examples of social movements are that people are protesting for more sustainable business practices, institutional investors shy away from non-ESG funds, and “Fridays for future” from Greta Thunberg. All these aspects push organizations towards increasing their strivings for sustainable business practices. This is shown in the increasing ESG portfolios and general organizational behaviour in environmental, governance, and social topics. When the interview partners look at investment options, ESG criteria are now in full focus due to social pressures.

6.5 Macroeconomic and global trends

Many authors state that macroeconomic and global trends have a significant influence on investor behaviour and the financial landscape, which is also proven by data and experience (Rubin, 2023). They play a crucial role in shaping the economy in every way (Bell & Van Vuuren, 2022). All interviewees agree that the current conflicts in Ukraine and Palestine have a tremendous influence on the investment landscape. The resulting inflation, money shortage, and resource scarcity have a huge impact and are important to consider. These aspects influence institutional factors and therefore go hand in hand. The conflicts even took the spotlight away from climate change and the sustainability trend. People are now considering other factors, such as security, financial stability, and peace, instead of green investments.

6.6 Impact of institutional factors on ESG investment

The combination of social factors, industry norms, and regulations shape the ESG landscape. The literature mentions that it is the mixture of these factors which makes the influence significant. There is no clear factor that stands out (Rahman & Lau, 2023). The interviewees agree partially. They claim that the interplay between those aspects is crucial and that they influence each other. Social pressures make regulatory institutions impose rules, which then leads to business standards and norms. But all interview partners agree that the starting point is social pressure from society. Since these social pressures decreased in the last year, because of the conflicts and inflation, the pressure on rule makers decreased as well. This is how institutional factors interplay which is part of the reasoning for the current reduction in ESG growth.

6.7 Challenges and barriers

Changes of a scale that influence a whole industry take time and a lot of effort (Jepperson & Meyer, 2021). It requires a structured long-term approach and high commitment from all stakeholders (Heeb et al., 2023). The empirical results show that besides structural barriers, the main challenge is the on average lower return rate of ESG funds. In the financial world, everything is about money. And when investors see an option with higher returns, they usually take it, even though it is not as compliant with ESG standards as others. In Europe this is declining, but in developing economies like India this is the standard behaviour. The interviewees also claim that the measuring of ESG criteria and adherence is difficult. It is lacking comparability and accuracy. Besides that, ESG development demands high CAPEX. In

the governance aspect, there is also a lack of female candidates for leadership positions. Overall, this change towards sustainability and ESG needs time and society should bring the demand. Currently, the focus is not on ESG in the world, therefore it needs time to evolve again.

6.8 Strategies and adaptations

Throughout the financial industry, strategies are adapting and ESG factors get into focus (Masters & Temple-West, 2023). To implement such a strategy is crucial to succeed in such a drastic change. The environment needs to be given and a structural approach is demanded to sustain long-term success (Marsh, 2023). The empirical results show that institutional factors already caused many organizations to adapt their strategies and to include ESG criteria much more. This includes the stopping of funding dirty power or industries, strategic changes in lending money, and new implementation of only ESG funds. Now there is a clear separation between green and non-green investment options. But the interviewees also claim that changing the business strategy will take more time to be fully adherend with current and future ESG criteria, which will become stricter.

6.9 Perceptions and experiences

Market trends are changing over time and there are phases of incline and decline. This is natural behaviour (Furusten, 2023). One interviewee explains this with the example of the S-curve. This is currently applying to the ESG investment trend as well. The other interview partners agree that one of the main reasons for the current decline in the ESG growth rate is the usually lower return rate on ESG investments in comparison to non-ESG investments. This was not applicable in that scale some years ago, but not it shows more significantly. The social pressures are currently not in focus of society. The two main conflicts are now the most important topics, and this causes the society to decrease the pressure for ESG. This results in lower pressure on regulatory institutions, which then impose less rules for ESG investing.

The fast development of ESG frameworks two or 3 years ago slowed down. But this is also not something unusual when you try to restructure a whole industry (Aw et al., 2022). The recent money shortage in the global financial market is another factor of why there are less investments in ESG funds. Interest rates went up, which brings people to put their money in the bank, rather than investing it. Inflation is very high globally, but especially in Europe. Investors need quick returns, and they should be as high as possible, which brings them towards non-ESG funds. The demand for ESG funds is simply not there and the market is in a volatile state.

The overall growth of the economy is slowing down, which leads to less new investments.

6.10 Future directions

The existing literature states that ESG is not only a trend, but it will shape the financial industry tremendously and will become a core element (Peterdy, 2023). All interviewees agree on that fact. Climate change will not disappear and therefore it needs a restructuring of our economy, which includes the financial industry (Bell & Van Vuuren, 2022). When the current conflicts will find an end, ESG will again become more popular for investors, according to the empirical results. The capital amount in the financial market will increase and social pressures will start to rise again. To what extent and how fast ESG will rise in the next years is unsure to say, but the results clearly show that this is just a current downward development, and it will strive again. First in Europe and the US, and then in the rest of the world.

The society is already developed enough in ESG aspects, so the foundation for future development is given (Bauer et al., 2021). All interviewees believe that the issue with the lower returns will disappear, because the economy will change in such a way that non-ESG funds will decrease over the years due to climate and other restrictions.

6.11 Recommendations and insights

Companies need to develop an environment which aligns with ESG criteria. To successfully implement ESG in business strategy, it is important to include all stakeholders. The focus needs to switch to longevity and ESG needs to be developed sustainably (Bansal et al., 2022). The results show that this will need time and will lead to high costs, but it is crucial to implement ESG into business operations. Therefore, the empirical data shows that companies should make that step now, because it will be an advantage for them in the future. It will bring them into a promising market position, when ESG investments will increase strongly again. All interview partners agree that the area which requires the further research the most is governance. It is a crucial part of sustainable business development and requires more focus.

6.12 Final thoughts

There are difficulties with the implementation of ESG. This is not only shown by the current growth decline, but in problems that companies faced in recent years. Measuring the alignment with ESG standards is difficult. Certain standards have been implemented, but the

control of it is still developing (Avramov et al., 2022). The empirical data shows that there is a significant issue with measurement of ESG factors. It is very subjective, and the control institutions are not comparable yet. The data is missing and differs from industry to industry. All interviewees mention that ESG is here to stay, and with further institutional development, especially in regulations, it will be a substantial part of global finance and the economy.

The following table 4 shows a summary of the identified factors for the decrease in growth of ESG investing.

Table 4

Identified factors

Legal regulations and compliance (coercive)	• Penalties for wrong compliance • Slower development and implementation of new regulations due to decreased social demand • Strict ESG-standards cut out profitable business opportunities, especially in developing countries • Lack of structure and guidelines in ESG reporting • Lack of systematic data collection and standardization for ESG reporting
Industry standards and norms (normative)	• Almost no development of isomorphism in developing economies (India)
Social expectations and pressures (cultural-cognitive)	• less social pressure and demand (main cause for the overall slower development of institutional factors) • Almost no social demand in developing countries
Macroeconomic and global trends	• Global conflicts (Ukraine and Palestine) • High global inflation • Decreasing money supply • High CAPEX in ESG projects

Note: This self-created table shows the identified factors which cause the decrease of ESG growth.

7 Conclusion

At the beginning of this study, a detailed introduction provided an overview of the topic. The focus of the introduction is on the research background, research relevance, research goal and objectives, description of distinctive features, and structure of the dissertation. After that followed a systematic literature review to give an understanding of what research in this area already has been done. After the literature review, the theoretical foundation about institutional theory and ESG established the necessary knowledge of the topic. The part about method and data explains the used empirical approach of this work. The empirical part showed the results which were conducted with six qualitative expert interviews from six different organizations and four different countries. The findings were discussed in Chapter 6 in comparison with the existing literature. This chapter concludes the findings of this thesis, including implications, limitations, and possible future research.

The goal of this thesis is to answer the following research question: “What are the predominant institutional factors contributing to the recent slowdown in the growth of ESG investments?”

Within the last years, society has changed. The current geopolitical conflicts, particularly those in Ukraine and Palestine, have shifted priorities. The resulting unstable economic situation and high inflation contribute to the change in demand when it comes to investments. Financial instability and money shortage lead investors to rethink their investment decisions and put their focus on short-term high returns, rather than long-term sustainable impact. Due to this change of social demand, social pressures on implementing ESG regulations decreased. The ESG framework is developing, but at a slower pace. Regulatory bodies are taking action when they feel the pressure from stakeholders. When this pressure is weakening, the implementation of new ESG rules and control mechanisms of ESG criteria is declining. This regulatory slowdown reflects the broader trend of reduced focus on sustainability and ESG under the current economic and geopolitical situation. The main drivers of implementing ESG frameworks, are cultural-cognitive pressures. The current social shift weakened the momentum of ESG investing, even though the awareness of its importance remains high. This also affects the development of industry standards and norms regarding ESG. Due to the intertwined relationship of coercive, normative, and cultural-cognitive aspects, industry standards are developing at a much slower pace than two or 3 years ago. Therefore, the reason for the growth decline is not a combination of certain specific institutional factors, but their general decrease of development and implementation. While ESG remains a critical area of interest in the

investment landscape, the overall reduction of institutional factors has significantly contributes to the recent slowdown in the ESG growth rate.

7.1 Implications

The contribution of this dissertation is to provide a reference framework for both academia and practice. It illustrates the extent to which ESG frameworks progressed in the financial industry, particularly institutions, organizations, and investors. This work contributes knowledge to existing literature about the current state of development of institutional factors and ESG in the financial industry. It highlights the reasons for the development in recent years and now. Industry experts with much experience explain the complex intertwining of institutional factors and ESG frameworks, both from an organizational and investor perspective. Furthermore, clarity is provided about the implemented ESG regulations and how social and industry pressures lead to it. This work highlights the reasoning behind the current slowdown of ESG growth and takes multiple perspectives into consideration. All six interviewed persons emphasize that ESG should not only be seen as a challenge but also as an opportunity. The opportunity lies in developing the organization in a sustainable way which provides long-term success and stability. This work and its empirical data serve as a guidance for organizations about strategic alignment with institutional trends in the financial industry. It gives a deep understanding of the current market situation and how to structure business operations accordingly.

7.2 Limitations and outlook for future research

Firstly, it should be noted that this thesis refers to organizations from the DACH (Germany, Austria, Switzerland, Liechtenstein) region and India. Therefore, a general conclusion cannot be drawn for all global financial organizations, even though it is applicable to many regions in the world. Besides that, this work focuses on financial organizations, such as public and private banks, financial advisors, and investor companies. Financial institutions could have a different perspective of the topic. A qualitative approach in the form of interviews was used to achieve in-depth results. It is assumed that all respondents answer conscientiously. Moreover, the qualitative approach could limit to capture the full spectrum of this global subject, due to the small number of interview partners. Non-institutional factors are not covered in this work, and they could lead to different results.

The mentioned limitations enable further research opportunities in this area. By selecting

different countries or regions or expanding the geographic scope further, it is possible to gather different results. Moreover, taking financial institutions into consideration can lead to a different perspective on the topic and the reasoning behind the ESG growth decrease. Choosing a quantitative approach, a larger number of respondents could be surveyed, potentially leading to a broader acknowledgeable result. Furthermore, analysing non-institutional factors such as return rate or profit margin could be examined to deepen the understanding of financial indicators.

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Appendix

Interview Guide

Master Thesis – Robert Bösch

ESG Investments and Institutional Theory

National Research University – Higher School of Economics

St. Petersburg, Russia

Topic name: Institutional Theory: Understanding the Dynamics of ESG Investments in a shifting Landscape

Research question: What are the predominant institutional factors contributing to the recent slowdown in the growth of ESG investments?

Brief introduction (Robert)

Purpose of Interview: Before the start of our interview, I will explain the study-objective incl. the:

- dynamics of ESG investments
- academic nature of ESG investments and the values of their perspectives
- principles of institutional theory in relation with ESG investing

Confidentiality Assurance: If you prefer, your responses to this interview will be anonymized. They will be used solely for research purposes.

Duration and Format: Interviews will be conducted via online-format, duration approx. 45 minutes. The interview structure is set up for "open" responses.

Consent: Kindly confirm your consent to participate and to record the conversation for accuracy in transcription.

Section 1: General Background and Context of Institutional Theory

1. Could you describe your role and experience in relation to ESG investing?

2. In your view, how does institutional theory apply to the ESG investment landscape?

3. How do institutional frameworks and conditions shape your/your organization's approach to ESG investing?

Section 2: Legal Regulations and Compliance

4. How have legal regulations influenced your/your organization's ESG investment strategies?

5. Can you discuss any recent regulatory changes that have impacted ESG investing? How have you/has your organization responded?

Section 3: Industry Standards and Norms

6. How do industry standards and norms guide your/your organization's ESG investment decisions?

7. In what ways has isomorphism (mimetic, coercive, normative pressures) manifested in ESG investing practices within your sector?

Section 4: Social Expectations and Pressures

8. How do social expectations and pressures from stakeholders influence your/your organizations ESG investment strategies?

9. Can you provide examples of how public opinion or social movements have impacted your/your organizations ESG investment decisions?

Section 5: Macroeconomic and global Trends

10. How do macroeconomic and global trends currently affect the ESG investment landscape?

11. Are there any specific global economic shifts that you believe are influencing ESG investments? If so, how?

Section 6: Impact of Institutional Factors on ESG Investment

12. From your perspective, what are the predominant institutional factors contributing to changes in ESG investment growth?

13. How do these factors interplay to shape the ESG investment landscape?

Section 7: Challenges and Barriers

14. What are the main challenges or barriers you/your organization faces in implementing ESG investments?

15. How do you/does your organization navigate these challenges while adhering to institutional norms and regulations?

Section 8: Strategies and Adaptations

16. What strategies have you/has your organization adopted to align with institutional

expectations while pursuing ESG investments?

17. How do you balance regulatory compliance, industry norms, and social expectations in your/your organizations ESG investment decisions?

Section 9: Perceptions and Experiences

18. After years of continuous growth of ESG investments, how do you perceive the recent slowdown?

19. Can you share any experiences or observations that might illustrate the impact of institutional factors on ESG investment trends?

Section 10: Future Directions

20. What future trends do you anticipate in ESG investing, particularly regarding institutional theory elements?

21. How are you/is your organization preparing to adapt to potential changes in legal regulations, industry norms, and social pressures related to ESG investing?

Section 11: Recommendations and Insights

22. Based on your experience, what recommendations would you/your organization offer to institutions looking to enhance their ESG investment strategies?

23. Are there any areas within ESG investing and institutional theory that you believe require further research or exploration?

Conclusion

Final Thoughts: You are invited for any final thoughts or anything else you would like to add that has not been covered.

Thank You very much for your dedicated time and your valuable insights!

Attachment

Term description/definition (incomplete - just to give a basic idea on the subject)

Institutional theory	Institutional theory explores how established structures, processes, and norms within a given context influence the behaviour and decisions of individuals and organizations. It emphasizes the role of social, cultural, and legal frameworks in shaping organizational actions and strategies, including adherence to industry standards, regulatory compliance, and alignment with social expectations.
Investment landscape	Refers to the overall environment of investment options, market dynamics, and economic influences that shape investor behaviour and choices.
Institutional frameworks & conditions	Refer to the formal and informal rules, policies, and cultural norms that govern behaviour and interactions within an organization or society. These include legal regulations, industry standards, societal expectations, and organizational practices that shape and constrain strategic choices.
Legal regulations	Legal Regulations that influence ESG investing. There is no single ESG-law, but f.e. the EU has issued the ESG legal framework, with the focus to make Europe more sustainable. This framework includes following regulations and guidelines: EU Green Deal, CSRD (Corporate Sustainability Reporting Directive), SFDR (Sustainable Finance Disclosure regulation), TCFD (task Force on Climate-related Financial Disclosures), EU-taxonomy.
Regulatory changes	Are alterations in laws and guidelines that impact organizational or private operations, such as changes in disclosure and reporting standards, data protection, trade, antitrust, impact on global business i.e.
Industry standards	Are established practices and expectations that guide behaviour within specific sectors.
Isomorphism	The process by which organizations in a field become increasingly similar to each other over time.
Mimetic	Organizations or individuals copy others to reduce uncertainty.
Coercive	Organizations or individuals conform due to external demands or threats.
Normative pressures	Organizations or individuals adopt practices based on industry norms and professional standards.

Macroeconomic & global trends	Such as inflation, fiscal policies, rapid urbanisation, climate change, resource scarcity, demographic and social change, shifts in global economic power, i.e.
Main challenges & barriers	Such as finding the right framework, measuring/tracking the performance, or accessing governance data and insights, tracking stakeholder sentiment and organizational reputation i.e.